GROUND LEASE AGREEMENT

BETWEEN

CITY OF PORT CALLOWAY REDEVELOPMENT AUTHORITY, as Landlord

AND

MERIDIAN GATEWAY HOLDINGS LLC, as Tenant

Premises: 10-30 Pier Street, Port Calloway, Connecticut 06801 (Assessor's Parcel No. 127-003-0045)

Dated as of _____, 2025

This instrument is subject to recording in the Port Calloway Land Records. A Memorandum of Lease in the form of Exhibit D shall be recorded concurrently with the execution and delivery of this Lease.

This Ground Lease Agreement (this "Lease") is made and entered into as of the date set forth above (the "Effective Date"), by and between the **CITY OF PORT CALLOWAY REDEVELOPMENT AUTHORITY**, a public body corporate and politic organized and existing under the provisions of the Connecticut General Statutes, Section 8-125 et seq., with its principal offices located at 75 Municipal Plaza, Port Calloway, Connecticut 06801 ("Landlord" or "Authority"), and **MERIDIAN GATEWAY HOLDINGS LLC**, a Delaware limited liability company registered to do business in the State of Connecticut, with its principal place of business at 400 Harborview Drive, Suite 1200, Port Calloway, Connecticut 06801 ("Tenant").

RECITALS

A. Landlord holds fee simple title to that certain parcel of land located at 10-30 Pier Street, Port Calloway, Connecticut 06801, identified on the records of the Port Calloway Tax Assessor as Parcel No. 127-003-0045, consisting of approximately 3.2 acres (139,392 square feet) and more particularly described on **Exhibit A** (the "Premises").

B. Landlord acquired the Premises through eminent domain proceedings concluded in 2012 for the purpose of implementing the waterfront revitalization plan for the Port Calloway Waterfront Revitalization District, and the Premises are currently unimproved and are subject to the Environmental Land Use Restriction recorded March 22, 2018, at Volume 412, Page 88 of the Port Calloway Land Records (the "ELUR").

C. Tenant desires to lease the Premises from Landlord and to develop, construct, own (for the Term), operate, and maintain thereon a mixed-use project consisting of a residential rental tower, a Class A office building, ground-floor retail space, structured and/or below-grade accessory parking, and publicly accessible waterfront open space (the "Project"), and Landlord desires to lease the Premises to Tenant for such purposes, on the terms and subject to the conditions set forth in this Lease.

D. Landlord and Tenant entered into that certain binding term sheet dated June 10, 2025 (the "Term Sheet") setting forth the principal business terms for this Lease, and Landlord's Board of Commissioners adopted Resolution No. 2025-047 on June 5, 2025, authorizing the execution and delivery of this Lease.

E. The Project will be financed in part with a construction loan from Bayside Federal Lending Corp. ("Bayside") secured by a first-priority leasehold mortgage on Tenant's leasehold interest in the Premises and the Improvements, and the parties intend that this Lease constitute a financeable, institutional-quality ground lease that satisfies the requirements of Bayside and of any successor or additional Leasehold Mortgagee during the Term.

NOW, THEREFORE, in consideration of the mutual covenants and agreements contained in this Lease and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, Landlord and Tenant agree as follows:

ARTICLE 1. DEFINITIONS AND RULES OF CONSTRUCTION

Section 1.1 Definitions.

As used in this Lease, the following capitalized terms have the meanings set forth below. Terms defined elsewhere in this Lease have the meanings there ascribed to them.

"**Abatement Year**" means each successive period of twelve (12) full calendar months commencing on the Abatement Commencement Date, and each anniversary thereof.

"**Abatement Commencement Date**" has the meaning set forth in Section 6.3(a).

"**Affiliate**" means, with respect to any Person: (a) any entity that directly or indirectly controls, is controlled by, or is under common control with such Person; (b) with respect to Tenant, any entity in which Marcus Ellison holds a direct or indirect controlling interest; (c) Coventry Capital Partners LP and its affiliated funds, general partners, managers, and portfolio companies; (d) any entity resulting from an internal reorganization or restructuring of Tenant's ownership, provided that Marcus Ellison or Coventry Capital Partners LP (or their respective affiliates) retain a controlling interest in the resulting entity; and (e) any investment fund, vehicle, joint venture, or account managed, sponsored, or advised by any of the foregoing or by their respective principals. "Control" means the possession, directly or indirectly, of the power to direct or cause the direction of the management and policies of a Person, whether through the ownership of voting securities, by contract, or otherwise.

"**Applicable Law**" means all present and future statutes, codes, ordinances, regulations, rules, orders, permits, approvals, judgments, and requirements of any Governmental Authority having jurisdiction over the Premises, the Project, or the use or operation thereof, including the ELUR, the Remediation Standard Regulations, the Affordable Housing Covenant, and all zoning, building, coastal, wetlands, floodplain, fire, life-safety, environmental, and accessibility requirements.

"**Approvals**" means all permits, approvals, authorizations, variances, special permits, site plan approvals, coastal and wetlands permits, building permits, certificates of occupancy, and other governmental consents necessary for the development, construction, occupancy, and operation of the Project.

"**Base Rent**" means the annual rent payable under Article 3.

"**Breakpoint**" has the meaning set forth in Section 4.2.

"**Business Day**" means any day other than a Saturday, Sunday, or day on which commercial banks in Connecticut are authorized or required to be closed.

"**CPI**" means the Consumer Price Index for All Urban Consumers, Northeast Region, as published by the United States Bureau of Labor Statistics (Series ID CUUR0100SA0), or any successor index designated under Section 3.3(c).

"**Casualty**" means any damage to or destruction of the Premises or the Improvements by fire, flood, windstorm, named storm, storm surge, tidal inundation, earthquake, or other casualty.

"**Condemnation**" means any taking of all or any part of the Premises or the Improvements, or of any interest therein or right appurtenant thereto, by eminent domain, condemnation, inverse condemnation, or conveyance in lieu thereof under threat of the exercise of the power of eminent domain.

"**DEEP**" means the Connecticut Department of Energy and Environmental Protection, or any successor agency.

"**ELUR**" means the Environmental Land Use Restriction recorded March 22, 2018, at Volume 412, Page 88 of the Port Calloway Land Records, as the same may be modified, amended, or released from time to time with the approval of DEEP.

"**Environmental Requirements**" means all Applicable Laws relating to pollution, contamination, hazardous substances, petroleum products, soil, sediment, groundwater, surface water, air, wetlands, or the protection of human health or the environment, including the Remediation Standard Regulations (Regs. Conn. State Agencies Section 22a-133k-1 et seq.), the ELUR, and the Connecticut Transfer Act (Section 22a-134 et seq. of the Connecticut General Statutes), together with the terms of any Remedial Action Plan, Soil Management Plan, Environmental Management Plan, or DEEP approval applicable to the Premises.

"**Event of Default**" means a Tenant Event of Default or a Landlord Event of Default, as applicable.

"**Expert**" means an independent third party appointed under Section 18.3(c) to determine any matter designated in this Lease for expert determination.

"**Fair Market Value of the Improvements**" means the fair market value as of the applicable date, determined in accordance with Section 7.7(b), of the Improvements, considered in place, in their then-existing condition, as an undivided whole, excluding Tenant's Trade Fixtures and Personal Property, and determined (i) on the basis of the use permitted under this Lease and the ELUR, (ii) without regard to any encumbrance arising by, through, or under Tenant (other

than the Leasehold Mortgage), and (iii) without deduction for the value of Landlord's fee interest in the Land or for the reversion.

"**Force Majeure**" has the meaning set forth in Section 7.4(b).

"**Governmental Authority**" means the United States of America, the State of Connecticut, the City of Port Calloway, Landlord, and any other federal, state, regional, municipal, or local government, agency, board, commission, department, authority, district, or instrumentality having jurisdiction.

"**Gross Revenues**" has the meaning set forth in Section 4.3.

"**Hazardous Materials**" means petroleum and petroleum products, petroleum hydrocarbons, waste oil, diesel, gasoline, volatile and semi-volatile organic compounds, polychlorinated biphenyls, asbestos, lead, per- and polyfluoroalkyl substances, and any other substance, material, or waste regulated under any Environmental Requirement.

"**Improvements**" means all buildings, structures, foundations, piles, slabs, parking facilities, infrastructure, utility lines within the Premises, hardscape, bulkhead work, mechanical, electrical, plumbing, fire-protection, and life-safety systems, fixtures, and other improvements, whether above or below grade, now or hereafter constructed, installed, or placed on the Premises by or on behalf of Tenant, together with all alterations, replacements, and additions thereto, but excluding Tenant's Trade Fixtures and Personal Property.

"**Landlord Event of Default**" has the meaning set forth in Section 14.1.

"**Leasehold Mortgage**" means any mortgage, deed of trust, deed to secure debt, collateral assignment of leases and rents, or other security instrument, and any amendment, restatement, renewal, extension, or replacement thereof, encumbering Tenant's leasehold interest in the Premises and the Improvements, granted to a Qualified Mortgagee.

"**Leasehold Mortgagee**" means Bayside and any other Qualified Mortgagee that is the holder, or the designated agent or trustee for the holder(s), of a Leasehold Mortgage, and their respective successors and assigns.

"**Lease Commencement Date**" means October 1, 2025 or, if later, the date on which the conditions set forth in Section 2.6(a) have been satisfied or waived.

"**Memorandum of Lease**" means the memorandum of this Lease in the form of **Exhibit D**, to be recorded in the Port Calloway Land Records.

"**Milestone**" means each of Milestone 1, Milestone 2, Milestone 3, and Milestone 4, as defined in Section 7.3 and scheduled on **Exhibit C**.

"**Milestone Failure**" means Tenant's failure to achieve Milestone 1 or Milestone 3 by the applicable Milestone Deadline, as extended under Section 7.4.

"**Permitted Exceptions**" means the matters listed on **Exhibit I**, as approved by Tenant, and such other matters as Tenant may approve in writing.

“**Person**” means any individual, corporation, limited liability company, partnership, joint venture, trust, estate, association, Governmental Authority, or other entity.

“**Personal Property**” means Tenant’s furniture, furnishings, equipment, inventory, computer and communications systems, art, and other personal property that is not a fixture.

“**Project**” has the meaning set forth in Recital C, as further described in Article 9.

“**Qualified Mortgagee**” means (a) Bayside Federal Lending Corp.; (b) any bank, savings bank, savings and loan association, credit union, insurance company, pension fund, real estate investment trust, mortgage real estate investment trust, governmental or quasi-governmental lender, or other institutional lender or financial institution; (c) any trust, fund, or vehicle sponsored, managed, or advised by any of the foregoing; and (d) any other Person approved in writing by Landlord, which approval shall not be unreasonably withheld, conditioned, or delayed, and which approval shall not be required for any assignment or transfer by a Qualified Mortgagee to its Affiliate, to any participant or co-lender, or to any Person acquiring the Leasehold Mortgage upon foreclosure or by deed in lieu.

“**Remediation**” means the investigation, removal, excavation, transportation, disposal, treatment, capping, monitoring, and other remedial activities necessary to address the Contamination in accordance with the Remediation Standard Regulations, the ELUR, and the Remedial Action Plan.

“**Remediation Credit**” has the meaning set forth in Section 5.3(a).

“**Remediation Costs**” means all costs of performing the Remediation, including excavation, transportation, disposal, backfill, confirmation sampling, oversight, reporting, DEEP fees, LEP fees, and permitting, together with the cost of the Soil Management Plan, the Remedial Action Plan, the verification report, and any ELUR modification obtained at Tenant’s request.

“**Rent Commencement Date**” has the meaning set forth in Section 2.7.

“**Rent Year**” means (a) the period commencing on the Rent Commencement Date and ending on the day preceding the first anniversary of the Rent Commencement Date, and (b) each successive period of twelve (12) full calendar months thereafter during the Term.

“**Security Deposit**” has the meaning set forth in Section 8.1.

Drafting note. This Lease does not use the term “Lease Year.” The Term Sheet uses that term inconsistently, measuring the Term, the Milestones, and the tax abatement from the Lease Commencement Date but measuring rent escalation and Percentage Rent from a year beginning on the Rent Commencement Date. This Lease distinguishes “Term Year” (from the Lease Commencement Date) from “Rent Year” (from the Rent Commencement Date) to eliminate that ambiguity. See Sections 2.5, 2.7, 3.2, 3.3, 4.1, and 6.3.

“**Tenant Event of Default**” has the meaning set forth in Section 15.1.

“**Term**” has the meaning set forth in Section 2.5.

“**Term Year**” means (a) the period commencing on the Lease Commencement Date and ending on the day preceding the first anniversary of the Lease Commencement Date, and (b) each successive period of twelve (12) full calendar months thereafter during the Term.

“**Trade Fixtures**” means Tenant’s trade fixtures, machinery, equipment, and personal property that are customarily removable without structural damage, including restaurant, retail, fitness, and office equipment and systems, and including all items installed by or for subtenants.

“**Transfer**” means any assignment, sublease of the entire Premises or substantially all of the Premises, conveyance, sale, transfer, or other disposition of this Lease or of Tenant’s leasehold interest, whether voluntary, involuntary, direct, or indirect, by operation of law or otherwise.

Section 1.2 Rules of Construction.

(a) Headings are for convenience only and do not affect interpretation. (b) “Including” means “including without limitation.” (c) “Hereof,” “herein,” “hereunder,” and similar terms refer to this Lease as a whole. (d) References to Articles, Sections, and Exhibits are to this Lease. (e) The singular includes the plural and vice versa, and any gender includes all genders. (f) “Days” means calendar days unless Business Days are specified. (g) References to any statute, regulation, or instrument include amendments, replacements, and successors. (h) References to “written” or “in writing” include electronic transmission. (i) Amounts of money are in United States dollars. (j) Where a period is measured from a date, the day of the triggering event is excluded and the last day is included. (k) If any date falls on a day that is not a Business Day, the date shall be the next Business Day. (l) Any determination of “reasonable” satisfaction, consent, or approval shall be made in good faith, in accordance with objective commercial standards, and within the time periods specified in this Lease.

Section 1.3 Exhibits.

The following Exhibits are incorporated in and made a part of this Lease:

Exhibit	Description
A	Legal Description of the Premises
B	Base Rent Schedule and Percentage Rent Illustration
C	Development Milestone Schedule
D	Form of Memorandum of Lease
E	Form of Subordination, Non-Disturbance, and Attornment Agreement
F	Form of Letter of Credit
G	Affordable Housing Requirements
H	Remediation Scope, Cost Allocation, and Credit Schedule
I	Permitted Exceptions

Section 1.4 No Strict Construction.

This Lease is the product of negotiation between sophisticated parties, each represented by counsel. No provision shall be construed against either party as the drafter. The Term Sheet is superseded in its entirety by this Lease as provided in Section 18.11, and in the event of any conflict between this Lease and the Term Sheet, this Lease controls.

ARTICLE 2. PREMISES; TERM; APPURTENANCES

Section 2.1 Demise.

Landlord hereby leases the Premises to Tenant, and Tenant hereby leases the Premises from Landlord, for the Term, subject to the terms, covenants, and conditions of this Lease and the Permitted Exceptions. Tenant’s interest is a leasehold estate for years and is not a tenancy at will, tenancy from year to year, or estate in fee.

Section 2.2 Legal Description; Survey.

(a) The Premises are more particularly described on **Exhibit A**, which shall consist of the metes and bounds description and the certified ALTA/NSPS Land Title Survey prepared by Calloway Land Surveyors LLC bearing Survey Job No. CLS-2025-0417, dated April 28, 2025 (the “Survey”), certified to Landlord, Tenant, Ridgepoint Title & Escrow Co., and Bayside.

(b) Landlord and Tenant acknowledge that two legal descriptions of the Premises are in circulation in the transaction record: (i) the description derived from the Survey, describing a parcel with approximately 435.22 feet of frontage on Pier Street and approximately 320.47 feet of frontage on Harbor Avenue, containing 139,392 square feet; and (ii) the description attached as Exhibit A to Title Commitment No. TC-2025-07821 issued by Ridgepoint Title & Escrow Co., which describes courses of 580.00 feet and 480.00 feet and which, when computed, encloses approximately 279,535 square feet (6.42 acres). The parties agree that the description derived from the Survey governs, that the description in the Title Commitment is erroneous, and that **Exhibit A** shall consist exclusively of the Survey description. Landlord shall cause the title company to amend Title Commitment No. TC-2025-07821 accordingly, and the issuance of the leasehold title policies described in Section 17.1(f) reflecting the corrected description is a condition to the Lease Commencement Date under Section 2.6. The stated area of 139,392 square feet is controlling for all purposes of this Lease, including the calculation of rent per square foot, notwithstanding any variance disclosed by field computation or later survey.

(c) Promptly following the Effective Date, and in any event before submission of the first building permit application, the parties shall jointly cause a boundary survey update to reconcile the linear-footage references in the transaction record, including the statement in the Term Sheet, the Title Commitment, the Phase II Environmental Site Assessment, and the Survey narrative that the Premises include “approximately 480 linear feet of bulkhead frontage,” against the 320.47-foot eastern boundary shown in the

Survey. The cost of such update shall be borne one-half by each party, and neither party shall be in default by reason of any inconsistency described in this Section 2.2 pending completion of the update.

Section 2.3 Appurtenant Rights.

Tenant's leasehold estate includes, without additional rent: (a) the right to use, maintain, repair, replace, and reconstruct the bulkhead and all waterfront improvements within the Premises; (b) all easements, rights-of-way, and appurtenances benefiting the Premises; (c) the right of ingress and egress over Pier Street, Harbor Avenue, and the public pedestrian promenade; (d) the right to install, maintain, and connect to utilities; and (e) the right to use the air space above the Premises in accordance with Applicable Law, subject to all height, zoning, and Federal Aviation Administration limitations.

Section 2.4 Reservations; Public Rights.

(a) Landlord reserves no rights in the Premises except: (i) the rights of the public under the recorded public utility easement (Volume 388, Page 201) and the recorded public pedestrian access easement (Volume 395, Page 112), both of which are Permitted Exceptions; (ii) the right to inspect and to exercise its rights under this Lease; and (iii) the reversion at the expiration or earlier termination of the Term.

(b) Landlord shall not grant, and shall not suffer to exist, any easement, license, lease, or other interest in the Premises that would materially and adversely interfere with Tenant's development or operation of the Project, and any such grant without Tenant's prior written consent shall be void as against Tenant's leasehold interest.

(c) Landlord shall use reasonable efforts, at Tenant's request and at Tenant's cost (except as provided in Section 5.5), to relocate, modify, or subordinate any utility facilities within the public utility easement that conflict with the Project, and shall cooperate with Tenant in obtaining any required relocation agreement from the City of Port Calloway.

Section 2.5 Term.

The term of this Lease (the "Term") is ninety-nine (99) years, commencing on the Lease Commencement Date and expiring at 11:59 p.m. Eastern Time on September 30, 2124 (the "Expiration Date"), unless sooner terminated as provided in this Lease. No renewal option is granted; the ninety-nine (99) year Term is the full duration of this Lease.

Section 2.6 Lease Commencement; Conditions Precedent.

(a) The Lease Commencement Date shall be the Effective Date; provided that if any of the following conditions has not been satisfied (or waived in writing by the party entitled to the benefit thereof) on or before the Effective Date, the Lease Commencement Date shall be the date on which the last such condition is satisfied:

execution and delivery of this Lease, the Memorandum of Lease, and the SNDA;

delivery by Ridgepoint Title & Escrow Co. of a pro forma ALTA Leasehold Owner's Policy in the amount of $425,000,000 and an ALTA Leasehold Loan Policy in the amount of $285,000,000, in each case in the forms and with the endorsements described in Section 17.1(f), subject only to the Permitted Exceptions;

delivery of the certified ALTA/NSPS Survey described in Section 2.2(a), together with the corrected legal description described in Section 2.2(b);

delivery of the Security Deposit in accordance with Article 8;

discharge, bonding, or other disposition of the mechanics' lien filed by Calloway Marine Demolition Inc. on April 3, 2025, in the manner contemplated by Section 17.1(g), so that such lien is not a Permitted Exception and does not appear as an exception to either leasehold policy;

delivery of evidence of Landlord's authority to execute this Lease, including a certified copy of Resolution No. 2025-047 bearing the vote of the Board of Commissioners and the Chair's certification, together with such additional approvals of the City of Port Calloway as may be required by Section 17.1(b);

execution and delivery by the City of Port Calloway and Tenant of the Tax Abatement Agreement described in Section 6.3(b); and

receipt by Tenant of confirmation from DEEP, in form reasonably satisfactory to Tenant, that the ground-floor uses contemplated by the Project as described in Section 9.3 (including residential lobby, leasing office, package room, resident lounge, and fitness center) do not constitute "residential use" prohibited by the ELUR, or, alternatively, Tenant's receipt of a modification of the ELUR permitting the same.

execution, delivery, and recording of the amendment to the ROFR Declaration required by Section 11.6(c).

(b) If any condition in Section 2.6(a) has not been satisfied on or before March 31, 2026 (as such date may be extended by mutual written agreement), either party may terminate this Lease by written notice, whereupon the Security Deposit shall be returned to Tenant, neither party shall have any further obligation except for those that expressly survive, and Landlord shall reimburse Tenant for Tenant's documented third-party due diligence costs (including title, survey, environmental, and legal fees incurred with respect to this Lease) up to a maximum aggregate amount of $750,000, but only if the unsatisfied condition is one that Landlord is obligated to satisfy under this Lease.

Section 2.7 Rent Commencement Date.

The "Rent Commencement Date" is the earlier of: (a) the date that is thirty-six (36) months after the Lease Commencement Date; or (b) the date on which a temporary or permanent certificate of occupancy is first issued for Occupancy Trigger Space. "**Occupancy Trigger Space**" means space that satisfies both of the following: (i) not less than seventy-five percent (75%) of the residential dwelling units included in the Residential Tower, measured by unit count, is covered by a certificate of occupancy; and (ii) the ground-floor retail space is available for tenant fit-out. No

certificate of occupancy for a nominal, incidental, or partial portion of the Project (including a sales center, leasing office, model unit, amenity space, or single retail bay) shall accelerate the Rent Commencement Date. From the Lease Commencement Date through the day preceding the Rent Commencement Date (the "Rent Abatement Period"), no Base Rent or Percentage Rent shall be payable, but Tenant shall pay all real property taxes (as abated under Article 6), insurance premiums, utilities, and other operating costs of the Premises.

Section 2.8 Memorandum of Lease; Recording.

(a) Concurrently with the execution of this Lease, the parties shall execute, acknowledge, and deliver the Memorandum of Lease in the form of **Exhibit D**, and Tenant shall record the Memorandum of Lease in the Port Calloway Land Records at Tenant's cost. The Memorandum of Lease shall state the identity of the parties, the legal description of the Premises, the Term, the Renewal Prohibition (if any), the Leasehold Mortgage consent, the new lease and cure rights under Article 10, and such other matters as either party may reasonably require.

(b) Recording of the Memorandum of Lease shall not create any obligation of confidentiality as to terms that are required to be disclosed under the Connecticut Freedom of Information Act (Section 1-200 et seq. of the Connecticut General Statutes), and Landlord's disclosure obligations under that Act are governed by Section 18.7.

(c) Neither party shall record this Lease in its entirety without the other party's written consent, except as required by Applicable Law, by a Leasehold Mortgagee, or by the title company as a condition to issuance of the leasehold policies.

Section 2.9 Condition of the Premises; Delivery.

Tenant accepts the Premises in their present "AS IS, WHERE IS" condition, subject to: (a) Landlord's representations and warranties in Section 17.1; (b) Landlord's covenants in Article 5; and (c) the environmental disclosures in the Phase I Environmental Site Assessment dated March 15, 2025 (Halcyon Project No. HEC-2025-0318) and the Phase II Environmental Site Assessment dated May 2, 2025 (Halcyon Project No. HEC-2025-0412). Landlord shall deliver exclusive possession of the Premises on the Lease Commencement Date, free of all tenants, occupants, and parties in possession other than the holders of the Permitted Exceptions, and free of any lease, license, or option (other than the recorded right of first refusal described on **Exhibit I**).

Section 2.10 Adjoining Parcel.

Landlord owns Assessor's Parcel No. 127-003-0044, adjoining the Premises to the south and identified for future public park development. Landlord shall: (a) not use or develop such parcel in a manner that unreasonably interferes with the construction, use, operation, or value of the Project, including by way of noise, dust, vibration, staging, or obstruction of light and air; (b) coordinate any construction on such parcel with Tenant's construction schedule; and (c) grant Tenant a temporary construction license over such parcel, at Tenant's cost and

insurable by Tenant, for crane and equipment swing, staging, and access during the construction period, on reasonable terms to be documented before commencement of construction.

ARTICLE 3. BASE RENT

Section 3.1 Initial Base Rent.

Commencing on the Rent Commencement Date, Tenant shall pay initial annual Base Rent of **Two Million Eight Hundred Fifty Thousand Dollars ($2,850,000)** (approximately $20.45 per square foot per annum based on 139,392 square feet), payable in equal monthly installments of Two Hundred Thirty-Seven Thousand Five Hundred Dollars ($237,500) on or before the first day of each calendar month, without notice or demand.

Section 3.2 Fixed Escalation (Rent Years 1 through 15).

Base Rent shall escalate by two and one-half percent (2.5%) per annum, compounded annually, applied in five (5) year steps from the initial Base Rent, so that annual Base Rent is as follows:

Rent Years	Annual Base Rent	Monthly Installment (annual amount / 12)
1 through 5	$2,850,000	$237,500.00
6 through 10	$3,224,513	$268,709.42
11 through 15	$3,648,241	$304,020.08

The amounts in the table are computed as $2,850,000 multiplied by 1.025 raised to the fifth and tenth powers, respectively, and rounded to the nearest whole dollar. If any amount stated in the table differs from the amount produced by that formula, the formula controls, and the monthly installment shall in all events equal one-twelfth of the annual amount determined under the formula, rounded to the nearest cent. The schedule of Base Rent for the full Term appears on **Exhibit B**.

Section 3.3 CPI Reset (Rent Year 16 and Thereafter).

(a) Effective on the first day of Rent Year 16 and on the first day of each tenth (10th) Rent Year thereafter (that is, Rent Years 26, 36, 46, 56, 66, 76, 86, and 96) (each, a “**Reset Date**”), annual Base Rent shall be reset to the greater of:

the amount that would result from the continued application of the two and one-half percent (2.5%) per annum compounding escalation set forth in Section 3.2 from the initial Base Rent of $2,850,000, determined as of such Reset Date; and

the initial Base Rent of $2,850,000, multiplied by a fraction, the numerator of which is the CPI for the calendar month that is three (3) months before the applicable Reset Date and the denominator of which is the CPI for the calendar month that is three (3) months before the Lease Commencement Date (the “Base Index Month”).

(b) In no event shall any reset under clause (ii) exceed, in the aggregate, one hundred fifty percent (150%) of the increase that would result under clause (i) as of the same Reset Date (the “Reset Cap”). Base Rent shall not be

reduced at any Reset Date below the amount payable immediately before such Reset Date.

(c) If the CPI ceases to be published, the parties shall use the most comparable index published by the United States Bureau of Labor Statistics or, if none, a successor index designated by the Expert under Section 18.3(c), rebased to the Base Index Month.

(d) Each reset shall be binding on the parties when determined. Either party may, within thirty (30) days after receipt of the other party’s calculation, object in writing, in which case the matter shall be determined by an Expert under Section 18.3(c), whose fees shall be borne equally. Pending determination, Tenant shall pay Base Rent at the amount calculated by Tenant, subject to reconciliation with interest at the lesser of eight percent (8%) per annum and the maximum lawful rate.

Section 3.4 Payment; Application.

(a) Base Rent and Percentage Rent shall be paid in lawful money of the United States by electronic funds transfer or other method reasonably designated by Landlord, without prior demand.

(b) Rent paid shall be applied first to Base Rent then due, then to Percentage Rent then due, then to any other amounts then due under this Lease. No payment shall be deemed a waiver of any right, and no acceptance of a partial payment shall constitute an accord and satisfaction.

(c) Tenant shall deliver to Landlord an annual rent statement within thirty (30) days after the end of each Rent Year, showing Base Rent, Percentage Rent, all offsets and credits applied, and the then-current Base Rent and Breakpoint for the following Rent Year. Administrative error in a statement shall not affect the obligations of the parties, which shall be reconciled within thirty (30) days after discovery.

Section 3.5 Setoff.

Tenant’s obligation to pay rent is absolute and unconditional, except that Tenant may offset against Base Rent, upon ten (10) Business Days’ prior written notice and in accordance with the procedures of this Lease: (a) the Remediation Credit under Section 5.3; (b) any amount due from Landlord under Section 6.4 as a result of the failure or shortfall of the tax abatement; (c) any amount due from Landlord under Section 14.4 following a Landlord Event of Default; (d) any amount due from Landlord under Section 7.7 upon a Reverter Termination; (e) any refund of an overpayment of Percentage Rent under Section 4.7; and (f) any amount finally determined to be due from Landlord to Tenant under this Lease, including under Article 13. Amounts not disputed in good faith may be offset without further condition. Landlord’s acceptance of reduced rent under this Section shall not constitute a waiver of any claim.

Section 3.6 Late Payment.

Any installment of rent not received within five (5) Business Days after its due date shall bear interest from the due date at the lesser of (a) eight percent (8%) per

annum and (b) the maximum rate permitted by Applicable Law. Landlord may impose a late charge of three percent (3%) of the overdue installment, provided that Landlord shall not impose more than two (2) late charges in any twelve (12) month period, and no late charge or interest shall accrue on amounts properly withheld or offset under Section 3.5 or disputed in good faith under this Lease.

Section 3.7 Proration.

Rent for any partial calendar month shall be prorated on a per diem basis based on the actual number of days in the month. Rent for any partial Rent Year shall be prorated on a per diem basis based on a 365-day year.

Section 3.8 Rent Absolute.

Except as expressly provided in this Lease, rent is not subject to any abatement, deduction, counterclaim, or setoff arising from any cause, including any defect in the Premises, any failure of Landlord to perform, any interruption of the Project's business, or any Casualty or Condemnation except as provided in Article 13. Tenant waives, to the fullest extent permitted by Applicable Law, any right to terminate this Lease or to withhold rent by reason of any such cause, except as expressly set forth in this Lease; provided that nothing in this Section limits Tenant's rights under Article 10, Article 13, or Article 14, or Tenant's rights against the Leasehold Mortgagee, or any non-waivable statutory right under the laws of the State of Connecticut.

ARTICLE 4. PERCENTAGE RENT

Section 4.1 Obligation.

Commencing with Rent Year 6 and continuing for the remainder of the Term, Tenant shall pay to Landlord, as additional rent, Percentage Rent equal to two percent (2.0%) of the amount by which Gross Revenues for such Rent Year exceed the Breakpoint for such Rent Year.

Section 4.2 Breakpoint; Breakpoint Adjustment.

(a) The Breakpoint for Rent Year 6 is **Twenty-Eight Million Five Hundred Thousand Dollars ($28,500,000)**.

(b) The Breakpoint is not a permanently fixed amount. Effective on the first day of each Rent Year after Rent Year 5, the Breakpoint shall be increased by the same cumulative percentage by which Base Rent has increased from Rent Year 6 to such Rent Year, determined under Sections 3.2 and 3.3 (with Base Rent for this purpose determined without regard to any cap under Section 3.3(b)), so that the Breakpoint bears the same relationship to Base Rent throughout the Term that it bore in Rent Year 6 (being 8.84 times Base Rent). The Breakpoint shall never be reduced below $28,500,000.

(c) On or before the first day of Rent Year 6, and on or before the first day of each Rent Year thereafter, Landlord and Tenant shall confirm in writing the Breakpoint for such Rent Year. Either party may request an Expert determination of the Breakpoint under Section 18.3(c); pending

determination, Percentage Rent shall be paid on the basis of the Breakpoint calculated by Tenant, subject to reconciliation.

(d) The parties acknowledge that Percentage Rent is intended to be a participation in the upside of the Project above the level of performance projected by the parties in 2025, and is not intended to operate as a gross receipts tax that increases in real terms over the Term solely because of inflation. The adjustment mechanism in this Section 4.2 is intended to give effect to that intent, and shall govern the construction of this Article 4.

Section 4.3 Gross Revenues.

"**Gross Revenues**" means, for any Rent Year, the gross revenues actually received in cash by Tenant and its Affiliates from the operation of the Project during such Rent Year, determined on a cash receipts basis (and not on the accrual or straight-line basis), consisting of: (a) residential rents (including rent for Affordable Units), net of concessions, abatements, and free rent actually granted; (b) office rents and additional rent actually received; (c) retail rents and additional rent actually received; (d) parking revenues; and (e) ancillary income directly derived from the operation of the Project, including fees for amenities actually paid by residents and commercial tenants.

Section 4.4 Exclusions from Gross Revenues.

Gross Revenues shall exclude: (a) security deposits, except to the extent actually applied by Tenant to rent in default and then only in the Rent Year so applied; (b) utility charges and reimbursements; (c) common area maintenance, real estate tax, insurance, and other operating expense recoveries and pass-throughs, including any recovery from subtenants or occupants of a proportionate share of costs; (d) proceeds of insurance; (e) condemnation awards and sale or refinancing proceeds; (f) interest, dividends, and other investment income; (g) capital contributions, loans, or other financing proceeds; (h) tenant improvement allowances, construction management fees, development fees, and other charges paid by subtenants or occupants in connection with fitting out space, to the extent they reimburse Tenant's capital costs; (i) reimbursements of Remediation Costs or of the cost of the engineered barrier; (j) any payment, credit, or refund received from Landlord or any Governmental Authority, including under the Tax Abatement Agreement; (k) rent attributable to Tenant's own use space, and rent from any subtenant that is an Affiliate to the extent it exceeds arm's-length rent; (l) recoveries of amounts previously written off; (m) revenue attributable to the public open space described in Section 9.5; (n) rebates, discounts, and vendor refunds; (o) proceeds from the sale of assets, furniture, fixtures, and equipment; (p) late fees, interest, and default interest; and (q) any amounts received in respect of periods before the Rent Commencement Date.

Section 4.5 Statements; Payment.

Percentage Rent shall be calculated annually and shall be due within ninety (90) days after the end of each Rent Year, accompanied by a certified statement of Gross Revenues for such Rent Year, prepared on a cash basis consistent with this Article 4, and signed by an authorized financial officer of Tenant. Tenant shall

maintain complete and accurate books and records supporting Gross Revenues for not less than three (3) years after the end of each Rent Year.

Section 4.6 Audit.

(a) Landlord may, no more than once in any Rent Year, at its sole cost, audit Tenant's books and records relating to Gross Revenues for the two (2) most recently completed Rent Years, upon not less than forty-five (45) days' prior written notice, during regular business hours, at the office where such records are maintained, through an independent certified public accountant bound by confidentiality obligations reasonably acceptable to Tenant and compensated on an hourly basis (and not on a contingency or percentage basis).

(b) Tenant shall have no obligation to produce records for any Rent Year more than twenty-four (24) months after delivery of the statement for that Rent Year, and Landlord's failure to object to a statement within such period shall be deemed acceptance of the statement for that Rent Year.

(c) If an audit demonstrates that Tenant underpaid Percentage Rent by five percent (5%) or more for the audited Rent Year, Tenant shall reimburse Landlord's reasonable, documented audit costs. If the audit demonstrates an underpayment of less than five percent (5%), or an overpayment, Landlord shall bear its own audit costs.

Section 4.7 Overpayment and Underpayment.

(a) Any underpayment established by an audit or by mutual agreement shall be paid within thirty (30) days after final determination, together with interest at the rate in Section 3.6 from the original due date.

(b) Any overpayment shall, at Tenant's election, be credited against the next installments of Percentage Rent or Base Rent, or refunded within thirty (30) days, together with interest at the rate in Section 3.6.

(c) The obligations of this Section 4.7 survive the expiration or earlier termination of this Lease for a period of two (2) years.

Section 4.8 Confidentiality of Revenue Data.

Landlord shall treat all statements of Gross Revenues and audit results as confidential, and shall disclose them only to its officers, commissioners, attorneys, auditors, and financial advisors, or as required by the Connecticut Freedom of Information Act or other Applicable Law, and shall assert all available exemptions before disclosure.

ARTICLE 5. ENVIRONMENTAL MATTERS; REMEDIATION

Section 5.1 Landlord's Environmental Representations.

Landlord represents and warrants to Tenant that, as of the Effective Date and as of the Lease Commencement Date:

(a) The Phase I Environmental Site Assessment dated March 15, 2025 and the Phase II Environmental Site Assessment dated May 2, 2025, each prepared by Halcyon Environmental Consultants Inc., have been delivered to Tenant in the form of the executive summary made available to Tenant, and, to Landlord's knowledge, the factual findings therein (including the location, area, depth, and concentrations of the Contamination in the Northwest Corner Area of approximately 4,200 square feet and the Former Dry Dock Area of approximately 1,600 square feet) are accurate, and Landlord has not withheld any environmental report, sampling data, or DEEP correspondence relating to the Premises.

(b) To Landlord's knowledge, there is no Contamination on, at, under, or migrating from the Premises other than the Contamination described in the Phase II Environmental Site Assessment and the residual contamination addressed by the ELUR, and no Contamination has migrated, or is migrating, off the Premises.

(c) Landlord has not received any notice of violation, enforcement action, citation, or order from DEEP or any other Governmental Authority relating to the Premises that remains unresolved, and the ELUR is in full force and effect and has not been violated.

(d) The ELUR has not been amended, modified, or supplemented, and no application for the release or modification of the ELUR has been submitted to DEEP.

(e) All Remedial Action taken by Landlord or its predecessors on the Premises has been performed in compliance with the Remediation Standard Regulations and the ELUR, and the engineered barrier required by the ELUR is in place and in good condition, except as disclosed in the Phase II Environmental Site Assessment.

(f) Landlord has made available to Tenant all notices, reports, and submissions delivered to or received from DEEP with respect to the Premises, and Landlord has filed all annual ELUR compliance certifications required to date.

Section 5.2 Tenant's Remediation Obligations.

(a) Tenant shall perform, at its cost (subject to Section 5.3 and Section 5.4), the Remediation described on **Exhibit H** in a good and workmanlike manner, in compliance with the Remediation Standard Regulations, the ELUR, the Remedial Action Plan, the Soil Management Plan, and all other Environmental Requirements, and in coordination with the Project's site work.

(b) Tenant shall engage a Connecticut Licensed Environmental Professional to oversee the Remediation and to certify its completion.

(c) Tenant shall obtain DEEP approval of a Remedial Action Plan and a Soil Management Plan before any ground disturbance on the Premises, and shall obtain a verification report and, where available, DEEP's written

determination that the Remediation is complete (whether by a verification of the self-implementing remediation or otherwise).

(d) The Remediation shall be commenced within a reasonable period after the Lease Commencement Date and prosecuted with reasonable diligence in coordination with the Project's construction schedule, and in any event so as not to delay achievement of Milestone 1.

Section 5.3 Remediation Credit.

(a) Landlord shall grant Tenant a credit in the aggregate amount of **One Million Eight Hundred Thousand Dollars ($1,800,000)** (the "Remediation Credit") against Base Rent, applied as follows:

Base Rent Month from Rent Commencement Date	Base Rent Due Before Credit	Remediation Credit Applied	Base Rent Payable
1 through 7	$237,500 per month	$237,500 per month ($1,662,500 in total)	$0
8	$237,500	$137,500	$100,000
9 and thereafter	per Section 3.1	$0	Full Base Rent
Total		**$1,800,000**	

(b) The Remediation Credit applies only against Base Rent, and not against Percentage Rent, taxes, insurance, or any other amount. The Remediation Credit is a rent credit and not a payment, and shall not be treated as rent paid for purposes of calculating Percentage Rent, the Security Deposit, or any other amount measured by rent.

(c) Tenant may, at its election and by written notice to Landlord given not less than ten (10) days in advance, accelerate the application of any unapplied balance of the Remediation Credit against the next succeeding installments of Base Rent, without regard to the monthly schedule in Section 5.3(a).

(d) If the Rent Commencement Date has not occurred by the date that is forty (40) months after the Lease Commencement Date, Tenant may, at its election, apply any unapplied balance of the Remediation Credit against real property taxes or insurance premiums payable by Tenant with respect to the Premises, and Landlord shall reimburse Tenant for such amounts within thirty (30) days after invoice, with Base Rent thereafter reduced by the amount so reimbursed.

(e) If this Lease expires or is terminated for any reason before the Remediation Credit has been fully applied, Landlord shall pay Tenant the unapplied balance in cash within thirty (30) days after the later of (i) the date of expiration or termination and (ii) the date Tenant delivers a final accounting of the Remediation Credit.

(f) The Remediation Credit is not conditioned on the actual amount of, or on Tenant's completion of, the Remediation, and is not subject to setoff, recapture, or reduction for any reason other than its application against Base Rent as provided in this Section.

Section 5.4 Remediation Cost Overruns.

(a) Tenant shall be responsible for Remediation Costs up to **Two Million Four Hundred Thousand Dollars ($2,400,000)**, which amount reflects the estimated cost of the Remediation set forth in the Phase II Environmental Site Assessment ($1,850,000 for the Northwest Corner Area and $550,000 for the Former Dry Dock Area).

(b) Tenant shall be responsible for Remediation Costs in excess of $2,400,000 up to an aggregate of **Three Million Dollars ($3,000,000)**.

(c) Remediation Costs in excess of $3,000,000 shall be allocated as follows:

to the extent attributable to (A) Contamination that was not identified or delineated in the Phase II Environmental Site Assessment, (B) Contamination that has migrated or is migrating from the Premises, (C) the presence of Hazardous Materials in groundwater requiring dewatering or treatment, or (D) any condition existing before the Lease Commencement Date that is unrelated to the footprint of the Project's proposed excavation, in each case Landlord shall bear such excess costs, and if Tenant has incurred them, Landlord shall reimburse Tenant within thirty (30) days after invoice; and

to the extent attributable to any other cause, including the Project's design, phasing, or means and methods, such excess costs shall be borne equally by Landlord and Tenant, with Landlord's share reimbursed to Tenant within thirty (30) days after invoice or, at Tenant's election, credited against Base Rent.

(d) If the estimate of total Remediation Costs, as revised by the LEP following completion of the Remedial Action Plan design, exceeds Four Million Five Hundred Thousand Dollars ($4,500,000), Tenant may terminate this Lease by written notice delivered within sixty (60) days after receipt of such revised estimate, whereupon the Security Deposit shall be returned to Tenant, Landlord shall pay the unapplied Remediation Credit in cash, and neither party shall have any further obligation except for those that expressly survive.

(e) Landlord's obligations under this Section 5.4 are in addition to, and not in lieu of, Landlord's indemnity obligations under Section 5.8.

Section 5.5 Work Standards; DEEP Filings; Landlord Cooperation.

(a) All Remediation shall be performed by licensed and insured contractors, in compliance with the Remediation Standard Regulations and the ELUR, and with the engineered barrier and groundwater use prohibitions therein. No potable water supply well shall be installed on the Premises, and all water supply shall be obtained from the municipal water system.

(b) Landlord, as the record fee owner, shall promptly execute and deliver any Remedial Action Plan, Soil Management Plan, Environmental Management Plan, ELUR modification, notice, certification, affidavit, or other submission to DEEP that requires the signature, acknowledgement, or consent of the record owner, and shall not unreasonably withhold, condition, or delay the same; provided that Landlord shall not be required to sign any document

that (i) acknowledges liability for a condition caused by Tenant, (ii) is inconsistent with Landlord's obligations under this Lease, or (iii) is not reasonably required for the Remediation, the Approvals, or compliance with the ELUR. Tenant shall reimburse Landlord's reasonable out-of-pocket costs of compliance with this Section 5.5(b), other than attorney's fees incurred to review documents that are consistent with this Lease.

(c) The parties shall jointly authorize and direct the LEP and Halcyon Environmental Consultants Inc. to communicate directly with both parties and with Bayside and its environmental consultant, and Landlord consents to reliance on the Phase II Environmental Site Assessment by Bayside and by any Leasehold Mortgagee.

(d) Tenant shall provide Landlord with copies of all material submissions to and correspondence with DEEP within ten (10) Business Days after delivery or receipt.

Section 5.6 ELUR Compliance; Ground-Floor Use.

(a) Tenant shall comply in all material respects with the ELUR for the Term, including the prohibition on ground-floor residential use, the engineered barrier requirement, the groundwater use prohibition, and the annual compliance certification requirement.

(b) The parties acknowledge the interpretive ambiguity identified in the Phase II Environmental Site Assessment with respect to whether non-habitable ancillary residential spaces on the ground floor — including the residential lobby, leasing office, package room, resident lounge, fitness center, and amenity areas described in the Project program — constitute "residential use" prohibited by the ELUR. Tenant's obligation under Section 9.3 is to limit ground-floor uses as therein provided, and Landlord shall not assert that any such permitted ground-floor use violates the ELUR unless and until DEEP has issued a written determination to that effect.

(c) Landlord shall cooperate with Tenant, at Tenant's cost, in obtaining a written interpretation from DEEP or a modification of the ELUR to permit the ground-floor program described in Section 9.3, and shall join in any application required to be made by the record owner. Landlord shall not unreasonably withhold consent to any ELUR modification that does not increase Landlord's obligations or liability.

(d) If (i) DEEP issues a written determination that any ground-floor use described in Section 9.3 is prohibited by the ELUR, and (ii) no modification of the ELUR permitting such use is obtained within twelve (12) months after such determination, Tenant may, at its election, either redesign the Project to comply, or terminate this Lease by written notice delivered within ninety (90) days after the expiration of such twelve-month period, whereupon the Security Deposit shall be returned to Tenant, Landlord shall pay the unapplied Remediation Credit in cash, and neither party shall have any further obligation except for those that expressly survive. No such termination shall constitute a Milestone Failure or trigger any reverter, forfeiture, or liquidated damages.

Section 5.7 Engineered Barrier; Soil Management.

Tenant shall design, install, and maintain the engineered barrier (cap) required by the ELUR, consisting of not less than twenty-four (24) inches of documented clean fill or a geomembrane or concrete barrier system approved by DEEP, and shall coordinate site grading, foundation design, and utility installation so as not to compromise the barrier. Tenant shall perform annual inspections and shall report and repair any breach in accordance with the ELUR (notification to DEEP within thirty (30) days and repair within ninety (90) days of discovery). Any ELUR-required work performed after the expiration of the Term shall be the responsibility of Landlord, and Tenant's obligations under this Section 5.7 shall terminate upon the expiration or earlier termination of this Lease, except for reporting and repair obligations accruing before such date.

Section 5.8 Environmental Indemnities.

(a) **Landlord's Indemnity.** Landlord shall indemnify, defend (with counsel reasonably acceptable to Tenant), and hold harmless Tenant, its members, managers, officers, employees, agents, and Leasehold Mortgagees from and against all claims, liabilities, losses, damages, penalties, fines, judgments, costs, and expenses (including reasonable attorneys' and consultants' fees, and diminution in value of the leasehold estate) arising out of or relating to: (i) the presence, release, or migration of Hazardous Materials on, at, under, or from the Premises existing as of the Lease Commencement Date or arising from the acts or omissions of Landlord or its agents; (ii) any violation of Environmental Requirements by Landlord; (iii) any inaccuracy in Landlord's representations in Section 5.1; (iv) any off-site migration of Contamination from the Premises; and (v) any third-party claim relating to conditions existing before the Lease Commencement Date, except to the extent caused by Tenant's gross negligence or willful misconduct.

(b) **Tenant's Indemnity.** Tenant shall indemnify, defend, and hold harmless Landlord and its commissioners, officers, employees, and agents from and against all claims, liabilities, losses, damages, penalties, fines, judgments, costs, and expenses (including reasonable attorneys' and consultants' fees) arising out of or relating to: (i) Tenant's performance of the Remediation, construction, or operation of the Project in violation of Environmental Requirements; (ii) any release of Hazardous Materials introduced to the Premises by Tenant or its contractors, subtenants, or agents after the Lease Commencement Date; and (iii) any exacerbation by Tenant of conditions existing as of the Lease Commencement Date, except to the extent caused by Landlord's breach of this Lease.

(c) The indemnities in this Section 5.8 shall survive the expiration or earlier termination of this Lease, shall not be limited by any insurance proceeds received, shall not be subject to any cap, and shall not be limited by the provisions of any Workers' Compensation Act or similar statute. The obligations of each party shall be reduced only by amounts actually recovered from a third party responsible for the same loss.

Section 5.9 Environmental Insurance.

Tenant shall maintain environmental liability (pollution legal liability) insurance in the amounts required by Article 12, covering (a) unknown pre-existing conditions, (b) remediation cost overruns, (c) third-party bodily injury and property damage, and (d) claims for natural resource damages, in each case with respect to the Premises. Tenant shall use commercially reasonable efforts to obtain coverage for the duration of the Remediation and construction period and, to the extent available at commercially reasonable cost, for the Term.

Section 5.10 Environmental Notices.

Each party shall promptly notify the other of (a) any release or threatened release of Hazardous Materials at the Premises of which it becomes aware, (b) any notice, order, or inquiry from DEEP or any other Governmental Authority relating to the Premises, and (c) any third-party environmental claim relating to the Premises, and shall deliver copies of all such communications within five (5) Business Days.

ARTICLE 6. TAXES, ASSESSMENTS, AND TAX ABATEMENT

Section 6.1 Tenant’s Tax Obligations.

Subject to Section 6.3 and Section 6.4, Tenant shall pay before delinquency all real property taxes, ad valorem taxes, special assessments, benefit assessments, sewer and water charges, and other governmental impositions levied or assessed against the Premises or the Improvements during the Term, and shall furnish Landlord with evidence of payment upon request.

Section 6.2 Excluded Taxes.

Tenant shall not be responsible for: (a) any income, franchise, profits, estate, gift, inheritance, transfer, recording, or documentary stamp tax of Landlord; (b) any tax or assessment attributable to Landlord’s ownership of the fee interest as distinct from the leasehold interest, except to the extent expressly payable by Tenant under Section 6.1 as a tax on the Premises; (c) any tax, assessment, or charge attributable to Assessor’s Parcel No. 127-003-0044 or to any other property of Landlord; (d) any payment in lieu of taxes, or any charge imposed on Landlord in lieu of taxes, other than a payment in lieu of taxes that is assessed in substitution for, and does not exceed, the real property taxes that would otherwise be payable by Tenant under Section 6.1; (e) any interest or penalty resulting from Landlord’s failure to forward a tax bill to Tenant within fifteen (15) days after receipt; and (f) any transfer or excise tax arising on the exercise by Landlord of its right of first refusal or any other acquisition by Landlord of the leasehold interest.

Section 6.3 Tax Abatement.

(a) **Abatement Period.** Subject to Sections 6.3(b) and 6.4, real property taxes payable by Tenant with respect to the Premises and the Improvements shall be limited, for fifteen (15) Abatement Years, to the percentages of the taxes that would be payable on the full post-development assessed value set forth below. The “**Abatement Commencement Date**” is the later of (i) the Rent Commencement Date and (ii) the first day of the first Abatement Year in

which the Premises, together with the Improvements, are assessed as improved property following substantial completion of Phase 1. The Abatement Commencement Date shall not be earlier than the Rent Commencement Date, and no part of the fifteen (15) year abatement period shall be consumed during the Rent Abatement Period or during the period in which Tenant is paying real property taxes on an unimproved parcel.

Abatement Years	Percentage of Full Assessed Value	Estimated Annual Taxes (based on $178,000,000 assessed value and 34.75 mills)
1 through 5	25%	$1,546,375
6 through 10	50%	$3,092,750
11 through 15	75%	$4,639,125
16 and thereafter	100%	$6,185,500

(b) **Tax Abatement Agreement.** The parties acknowledge that Landlord does not itself levy or collect real property taxes and that implementation of the abatement requires an agreement with the City of Port Calloway. Landlord shall, on or before the date that is ninety (90) days after the Effective Date, cause the City of Port Calloway to execute and deliver to Tenant a tax abatement (fixed assessment) agreement, in form reasonably satisfactory to Tenant and consistent with this Section 6.3, that is binding on the City, recorded in the Port Calloway Land Records, and enforceable by Tenant (the "**Tax Abatement Agreement**"). The execution and delivery of the Tax Abatement Agreement is a condition to the Lease Commencement Date under Section 2.6(a)(vii).

(c) Landlord represents that it has authority to cause the City of Port Calloway to enter into the Tax Abatement Agreement and that no further action of any municipal body is required other than as disclosed to Tenant in writing before the Effective Date. Landlord shall use diligent efforts (and not merely commercially reasonable efforts) to obtain all approvals, authorizations, and appropriations necessary to implement the abatement, including any action of the Port Calloway Board of Finance, the City Council, the Tax Assessor, or the Connecticut Office of Policy and Management, and shall promptly deliver copies of all applications and correspondence to Tenant.

(d) Tenant shall cooperate with Landlord in the preparation and prosecution of all applications for the abatement, shall furnish such information as may reasonably be required, and shall not take any action (including any tax appeal under Section 6.5) that would jeopardize the abatement without Landlord's prior written consent, which shall not be unreasonably withheld.

(e) The estimates in Section 6.3(a) are illustrative only, based on the assessed value and mill rate stated in the Term Sheet. The actual assessed value and mill rate shall govern, and neither party warrants the accuracy of the estimates.

Section 6.4 Failure or Shortfall of the Abatement.

(a) If, for any Abatement Year, the abatement is not implemented, is implemented at a level less favorable to Tenant than Section 6.3(a), is

reduced, revoked, or expires before the end of the fifteenth (15th) Abatement Year, for any reason other than Tenant's breach of this Lease or of the Tax Abatement Agreement, then Tenant's Base Rent for that Abatement Year shall be reduced, dollar for dollar, by the amount by which the real property taxes actually payable by Tenant exceed the taxes that would have been payable had the abatement been implemented as provided in Section 6.3(a). Tenant may effect such reduction by offset under Section 3.5 or, at its election, by demand for payment, and Landlord shall pay any amount not offset within thirty (30) days after invoice.

(b) If a shortfall under Section 6.4(a) occurs in each of two (2) consecutive Abatement Years, or if the aggregate shortfall exceeds Three Million Dollars ($3,000,000), Tenant may terminate this Lease by written notice delivered within ninety (90) days after the end of the second such Abatement Year, whereupon the Security Deposit shall be returned to Tenant, Landlord shall pay the unapplied Remediation Credit in cash, and neither party shall have any further obligation except for those that expressly survive. No such termination shall constitute a Milestone Failure.

(c) If the abatement is lost or reduced as a result of any act or omission of Tenant in breach of this Lease, Landlord shall have no obligation under this Section 6.4, and Tenant shall bear the resulting taxes.

Section 6.5 Contest Rights.

Tenant may, at its cost and in its own name or in the name of Landlord (and Landlord shall join in any contest where required by Applicable Law, at no cost to Landlord), contest by appropriate proceedings the validity or amount of any tax or assessment, provided that Tenant (a) shall not permit the Premises to be sold for non-payment, (b) shall keep Landlord reasonably informed, (c) shall not contest in a manner that would jeopardize the abatement without Landlord's consent under Section 6.3(d), and (d) shall pay the contested amount under protest or provide such security as may be required. Any refund shall belong to Tenant to the extent it relates to taxes paid by Tenant, and shall be applied first to reimburse Tenant for its costs of the contest.

Section 6.6 Proration; Refunds.

Real property taxes shall be prorated on a per diem basis as of the Lease Commencement Date, the Rent Commencement Date, and the expiration or earlier termination of this Lease, on the basis of the fiscal year of the City of Port Calloway. Any refund received by Landlord attributable to taxes paid by Tenant shall be paid to Tenant within thirty (30) days after receipt.

Section 6.7 Special Assessments.

Tenant shall pay special assessments levied against the Premises during the Term; provided that Tenant may pay any such assessment in installments over the longest period permitted by the assessing authority, and shall not be required to pay any assessment attributable to improvements constructed or to work performed before the Lease Commencement Date, including any assessment

relating to the bulkhead demolition that gave rise to the mechanics' lien described on **Exhibit I**.

Section 6.8 Utilities.

Tenant shall pay all charges for utilities and services supplied to the Premises during the Term. Landlord shall not be obligated to furnish any utility or service, and shall not be liable for any interruption except to the extent caused by Landlord's negligence or willful misconduct.

ARTICLE 7. DEVELOPMENT; MILESTONES; FORCE MAJEURE; REVERTER

Section 7.1 Development Obligation.

(a) Tenant shall develop the Project substantially in accordance with the Project program described in Article 9, the Approvals, and Applicable Law, and shall prosecute construction with reasonable diligence, subject to Force Majeure and the extensions provided in Section 7.4.

(b) Tenant shall have sole control over the design, means and methods, contracting, scheduling, phasing, and value engineering of the Project, subject only to the Approvals and Applicable Law. Landlord's approval rights are limited to those expressly set forth in this Lease (including Section 9.5 as to the design of the public open space) and to any approval required under Applicable Law or as a condition of any Approval.

(c) Tenant may construct the Project in phases. References in this Lease to Phase 1 mean the Residential Tower (including ground-floor commercial and retail space and accessory parking) and references to Phase 2 mean the Office Building.

(d) Tenant shall cause the Project to be constructed in a good and workmanlike manner, in compliance with Applicable Law and the ELUR, and lien-free (subject to Landlord's obligations under Section 17.1(g)).

Section 7.2 Approvals; Landlord Cooperation.

(a) Tenant shall use diligent efforts to obtain all Approvals. Landlord shall cooperate with Tenant in obtaining Approvals, at no cost to Landlord except as provided in Section 5.5, including by executing applications, consents, and owner's authorizations, by supporting Tenant's applications before the City of Port Calloway Planning and Zoning Commission, Inland Wetlands Commission, Zoning Board of Appeals, and Building Department, and by providing such information regarding Landlord's fee interest and the ELUR as Tenant may reasonably require.

(b) Landlord shall not oppose, and shall not cause or encourage any board, commission, or agency of the City of Port Calloway to oppose, any application for Approvals that is consistent with Applicable Law and the Project program.

(c) If any Approval is denied, revoked, or delayed by reason of the ELUR, Landlord's title, any encumbrance created by Landlord, or any act or omission of Landlord or the City of Port Calloway, the applicable Milestone Deadline shall be extended day for day for the period of such denial, revocation, or delay, in addition to any extension under Section 7.4.

(d) If all Approvals for Phase 1 are denied on a final, non-appealable basis following Tenant's diligent pursuit, and such denial is not attributable to Tenant's design or application, Tenant may terminate this Lease by written notice delivered within ninety (90) days after such final denial, whereupon the Security Deposit shall be returned to Tenant, Landlord shall pay the unapplied Remediation Credit in cash, and neither party shall have any further obligation except for those that expressly survive. No such termination shall constitute a Milestone Failure.

Section 7.3 Milestones.

Tenant shall achieve each of the following Milestones by the corresponding Milestone Deadline, subject to Section 7.4 and Section 7.2(c):

Milestone	Requirement	Period from Lease Commencement Date	Deadline if Lease Commencement Date is October 1, 2025
Milestone 1	Commencement of Construction: physical pouring of footings for at least one building within the Project, following issuance of all necessary building permits	18 months	April 1, 2027
Milestone 2	Completion of Structural Frame: topping-out of the structural steel and/or concrete frame for the Residential Tower	42 months	April 1, 2029
Milestone 3	Substantial Completion of Phase 1: issuance of a temporary or permanent certificate of occupancy for the Residential Tower and ground-floor retail space, such that the Residential Tower is ready for residential occupancy and the retail space is available for tenant fit-out	60 months	October 1, 2030
Milestone 4	Substantial Completion of Phase 2: issuance of a temporary or	84 months	October 1, 2032

Milestone	Requirement	Period from Lease Commencement Date	Deadline if Lease Commencement Date is October 1, 2025
	permanent certificate of occupancy for the Office Building		

Section 7.4 Force Majeure and Permitting Extensions.

(a) Each Milestone Deadline shall be extended, day for day, for delay in achievement of the applicable Milestone caused by Force Majeure, up to a maximum aggregate extension of twelve (12) months across all Milestones, and shall be further extended for delay attributable to governmental permitting processes beyond Tenant's reasonable control, including delays in the issuance of building permits, zoning approvals, coastal or wetlands approvals, DEEP approvals, or certificates of occupancy, up to an additional six (6) months in the aggregate. The total aggregate extension under this Section 7.4 shall not exceed eighteen (18) months.

(b) "**Force Majeure**" means any event or condition beyond Tenant's reasonable control that actually delays achievement of a Milestone, including: acts of God; unusually severe weather; named tropical storms, hurricanes, nor'easters, and other storm events; tidal flooding and storm surge; changes in Federal Emergency Management Agency flood mapping or floodplain requirements; fire and other casualty; war, terrorism, sabotage, and civil unrest; strikes, lockouts, and labor disputes; governmental orders, moratoria, shutdowns, and delays in the processing or issuance of Approvals (subject to the permitting extension in Section 7.4(a)); epidemics and pandemics; shortages, unavailability, or delay in the delivery of materials, equipment, or labor resulting from supply-chain disruption, tariffs, or trade restrictions; utility failures and utility company delays; the discovery of Hazardous Materials, archaeological resources, or unknown site conditions not identified in the Phase II Environmental Site Assessment or the Survey; judicial orders and injunctions; and delays caused by Landlord, its agents, or any Governmental Authority.

(c) Force Majeure does not include Tenant's lack of funds, inability to obtain financing, or general market or economic conditions, except to the extent such conditions manifest as an event described in Section 7.4(b).

(d) Tenant shall give Landlord written notice of any claim of Force Majeure or permitting delay within thirty (30) days after Tenant becomes aware of the event, describing the event and its anticipated duration. Failure to give timely notice shall reduce the extension only by the number of days of delay in giving notice and shall not otherwise prejudice Tenant's entitlement.

(e) Tenant shall use reasonable efforts to mitigate the effects of any Force Majeure event, but shall not be required to incur extraordinary expense, to accelerate construction at premium cost, or to settle any labor dispute on terms it deems commercially unreasonable.

(f) If the parties dispute the duration of any extension, either may submit the matter to an Expert under Section 18.3(c). Pending determination, no Milestone Failure shall be deemed to have occurred with respect to the disputed period.

Section 7.5 Milestone Failure; Notice; Cure.

(a) If a Milestone Failure occurs, Landlord may deliver written notice (a "**Milestone Notice**") to Tenant and, simultaneously, to each Leasehold Mortgagee, specifying in reasonable detail the Milestone that was not achieved and the basis for the claimed failure.

(b) Tenant shall have one hundred eighty (180) days after receipt of the Milestone Notice (the "**Milestone Cure Period**") to achieve the applicable Milestone or otherwise cure the Milestone Failure.

(c) If Tenant achieves the applicable Milestone within the Milestone Cure Period, this Lease shall remain in full force and effect, Landlord shall have no claim for damages, no reverter shall occur, and the Milestone Notice shall be of no further effect.

(d) No Milestone Failure shall exist, and no Milestone Notice may be delivered, with respect to any period during which the applicable Milestone Deadline is extended under Section 7.2(c) or Section 7.4, or during which Landlord is in default of its obligations under this Lease in a manner that has prevented achievement of the Milestone.

Section 7.6 Reverter Right; Conditions to Exercise.

(a) Subject to Sections 7.6(b) through 7.6(e), if a Milestone Failure is not cured within the Milestone Cure Period, Landlord may terminate this Lease (a "**Reverter Termination**") by written notice delivered to Tenant and simultaneously to each Leasehold Mortgagee after the expiration of the Milestone Cure Period and after the expiration of all applicable Leasehold Mortgagee cure periods under Section 10.3.

(b) **No automatic termination.** This Lease shall not terminate automatically upon the expiration of the Milestone Cure Period or upon any other event. Termination may occur only upon Landlord's written notice under Section 7.6(a), and only after all conditions in this Section 7.6 have been satisfied. Any provision of the Term Sheet providing for automatic termination upon expiration of the Milestone Cure Period is superseded by this Section 7.6(b).

(c) **Leasehold Mortgagee cure.** No Reverter Termination shall be effective unless and until (i) each Leasehold Mortgagee has received the Milestone Notice simultaneously with Tenant, and (ii) the applicable cure period under Section 10.3(c) (being not less than one hundred eighty (180) days after the Leasehold Mortgagee's receipt of the Milestone Notice) has expired without cure. A Leasehold Mortgagee may cure a Milestone Failure by performing the Milestone, by advancing funds to Tenant, by causing a replacement developer, general contractor, or property manager acceptable to Landlord (such acceptance not to be unreasonably withheld) to be installed and to

undertake the Milestone, or by exercise of its New Lease right under Section 10.4.

(d) **No reverter where Mortgagee exercises New Lease.** If any Leasehold Mortgagee exercises its New Lease right under Section 10.4, the Reverter Termination shall be of no force or effect, the Improvements shall be included in the New Lease without additional rent, and Landlord shall have no claim to the Security Deposit except to the extent of draws permitted under Section 8.4 and Section 7.9.

(e) **Reverter subordinate to Leasehold Mortgage.** The reverter right is and shall remain subject and subordinate in all respects to each Leasehold Mortgage and to the rights of each Leasehold Mortgagee under Article 10. Landlord shall not exercise the reverter right in any manner that extinguishes, impairs, or otherwise defeats the security interest of any Leasehold Mortgagee.

Section 7.7 Compensation on Reverter Termination.

(a) **Payment required.** If a Reverter Termination occurs, Landlord shall pay Tenant, as a condition to Landlord's recovery of possession, an amount (the "**Reverter Compensation**") equal to the greater of:

the Fair Market Value of the Improvements as of the date of the Reverter Termination, determined under Section 7.7(b); or

Tenant's Net Hard Costs, determined under Section 7.7(c).

(b) **Fair Market Value determination.** Within twenty (20) days after the Reverter Termination, each party shall appoint a qualified MAI appraiser licensed in Connecticut. Each appraiser shall deliver a written determination of the Fair Market Value of the Improvements within forty-five (45) days after appointment. If the two determinations differ by ten percent (10%) or less of the higher determination, the Fair Market Value shall be their average. If they differ by more than ten percent (10%), the two appraisers shall appoint a third MAI appraiser within ten (10) days, whose sole determination, delivered within forty-five (45) days after appointment, shall be the Fair Market Value. Each party shall bear the cost of its own appraiser, and the parties shall share equally the cost of the third appraiser. The appraisers shall value the Improvements as an undivided whole, in place, as is, in their then-existing condition, without deduction for the value of the Land, the reversion, or any leasehold mortgage, and without regard to the circumstances of the termination.

(c) **Net Hard Costs.** "**Net Hard Costs**" means Tenant's actual, documented, out-of-pocket hard construction costs incurred and paid with respect to the Improvements, as evidenced by paid invoices, certified draw schedules, lien waivers, and the construction lender's records, excluding soft costs, financing costs, developer fees, remediation costs, and rent, reduced by (i) insurance proceeds actually received and retained by Tenant with respect to the Improvements, and (ii) the amount of Landlord Damages determined under Section 7.7(d).

(d) **Landlord Damages.** "**Landlord Damages**" means Landlord's actual, documented, direct damages resulting from the Milestone Failure, limited to (i) reasonable, documented costs incurred to re-market the Premises and to procure a replacement developer, (ii) reasonable out-of-pocket costs and expenses, and (iii) the amount by which Base Rent that would have accrued from the Rent Commencement Date to the date of the Reverter Termination, had the Project been completed in accordance with the Milestone schedule, exceeds Base Rent actually received, which amount shall not exceed twenty-four (24) months of Base Rent at the rate in effect on the date of the Reverter Termination. Landlord Damages shall exclude consequential, indirect, special, incidental, and punitive damages, lost profits (other than as limited in clause (iii)), diminution in the value of the fee, attorneys' fees except as awarded under Section 18.3, and any amount attributable to Landlord's own act, omission, or breach. Landlord shall have a duty to mitigate its damages.

(e) **Payment; possession.** Landlord shall pay the Reverter Compensation within ninety (90) days after its final determination under Section 7.7(b) and Section 7.7(c). Amounts unpaid after such date shall bear interest at eight percent (8%) per annum. Landlord shall not be entitled to possession of the Premises or the Improvements, and Tenant shall not be required to surrender possession, until the Reverter Compensation has been paid in full or deposited into escrow with a nationally recognized title company or escrow agent reasonably acceptable to Tenant. If the Reverter Compensation has not been paid or deposited within one hundred twenty (120) days after its final determination, Tenant may, at its election, (i) rescind the Reverter Termination and continue this Lease in full force and effect as if the Milestone Notice had not been delivered, or (ii) pursue any remedy available at law or in equity, including specific performance.

(f) **No forfeiture.** The parties agree that the reverter right is intended to be a reasonable enforcement mechanism to secure Tenant's performance and not a penalty or forfeiture, and that Landlord shall not be entitled to any Improvement without payment of the Reverter Compensation. If any provision of this Article 7 is determined by a court of competent jurisdiction to be unenforceable as a penalty or an unconscionable forfeiture, such provision shall be reformed and enforced to the maximum extent necessary to make Landlord whole for its actual damages and no more, and Tenant shall in all events be entitled to the Reverter Compensation net of Landlord Damages.

Section 7.8 Landlord's Election to Purchase.

In lieu of a Reverter Termination, Landlord may elect, by written notice delivered within sixty (60) days after the expiration of all cure periods under Section 7.6, to purchase Tenant's leasehold interest and the Improvements for a price equal to the Reverter Compensation determined under Section 7.7, in which case the closing shall occur within one hundred twenty (120) days after such election, the Leasehold Mortgage shall be paid in full at closing or assumed by Landlord on terms acceptable to the Leasehold Mortgagee, and Tenant shall convey its

leasehold interest free and clear of liens and encumbrances arising by, through, or under Tenant.

Section 7.9 Security Deposit on Reverter Termination.

Upon a Reverter Termination, Landlord may draw upon the Security Deposit only in the amount of Landlord Damages determined under Section 7.7(d) and any Base Rent, Percentage Rent, or other amounts then due and unpaid. Landlord shall return the Security Deposit, or the undrawn balance thereof, to Tenant within ten (10) Business Days after the final determination under Section 7.7, together with any excess drawn amount. The forfeiture of the entire Security Deposit upon a Milestone Failure, as described in the Term Sheet, is superseded by this Section 7.9, and any attempt to retain the Security Deposit other than as provided in this Section 7.9 shall be void.

Section 7.10 Circumstances Excluding Reverter.

Notwithstanding anything to the contrary in this Lease, no Milestone Failure shall be deemed to have occurred, and no Reverter Termination shall be permitted, if and to the extent the failure to achieve the applicable Milestone results from: (a) any breach or default by Landlord under this Lease; (b) Force Majeure or permitting delay for which Tenant is entitled to an extension under Section 7.4, regardless of whether the aggregate caps in Section 7.4(a) have been exhausted, where the delay continues beyond the caps and is not attributable to Tenant’s lack of diligence; (c) a Casualty or Condemnation; (d) a determination by DEEP or any other Governmental Authority relating to the ELUR, or any denial, revocation, stay, or injunction affecting the Approvals for reasons not attributable to Tenant; (e) any act or omission of Landlord, the City of Port Calloway, or any utility; or (f) Tenant’s achievement of the applicable Milestone before the Reverter Termination becomes effective. In any such case, the Milestone Deadline shall be extended by the period of the excused delay.

Section 7.11 Effect of a Reverter Termination.

Upon a Reverter Termination (and subject to Section 7.7(e)): (a) rent and all other amounts shall be prorated to the date of termination; (b) Landlord shall take the Premises and the Improvements subject to the Permitted Exceptions and subject to all subleases, licenses, and occupancy agreements entered into in the ordinary course, which Landlord shall recognize; (c) at Landlord’s election, Tenant shall assign to Landlord, without representation or warranty other than as to title, such service contracts, warranties, guaranties, permits, and plans as relate to the Premises, and Landlord shall assume the obligations accruing after the termination date; (d) Tenant shall deliver as-built drawings, operation and maintenance manuals, and warranties in its possession; (e) Tenant may remove its Trade Fixtures and Personal Property within ninety (90) days after termination, repairing any damage caused by removal; and (f) the obligations of the parties that expressly survive shall continue. No merger of the leasehold estate into the fee shall occur by reason of any such transfer.

Section 7.12 Nature of the Milestone Covenants.

The Milestones are covenants of Tenant, the sole and exclusive remedy for the breach of which is set forth in this Article 7. The Milestones are not conditions subsequent to the effectiveness of this Lease or to the vesting of Tenant's leasehold estate, and no failure to achieve a Milestone shall, by itself, divest Tenant of its leasehold estate or of any Improvement without payment of the Reverter Compensation.

ARTICLE 8. SECURITY DEPOSIT

Section 8.1 Amount.

Tenant shall deliver to Landlord, on or before the Lease Commencement Date, a security deposit in the amount of **Five Million Seven Hundred Thousand Dollars ($5,700,000)**, equal to twenty-four (24) months of the initial monthly Base Rent (the "Security Deposit").

Section 8.2 Form.

(a) The Security Deposit shall be evidenced by an irrevocable standby letter of credit substantially in the form of **Exhibit F**, issued by a commercial bank organized under the laws of the United States or any state thereof, having a minimum long-term credit rating of A- from S&P Global Ratings or A3 from Moody's Investors Service (or an equivalent rating from a nationally recognized rating agency), naming Landlord as beneficiary, permitting partial draws, and permitting transfer to a successor landlord or to the Leasehold Mortgagee. Landlord shall accept a letter of credit issued by a state-chartered bank meeting such rating requirement, and nothing in this Lease or in Resolution No. 2025-047 shall be construed to require a federally chartered institution.

(b) Tenant may, at its election, satisfy the Security Deposit in whole or in part by delivery of cash, in which case Landlord shall hold the cash in a segregated interest-bearing account and shall pay interest to Tenant annually. Landlord may commingle the cash deposit with its general funds only if it pays interest to Tenant at the rate actually earned.

Section 8.3 Reduction.

(a) The Security Deposit shall be reduced to **Two Million Eight Hundred Fifty Thousand Dollars ($2,850,000)** upon Tenant's demonstration that the Project has achieved and maintained an Occupancy Rate of ninety percent (90%) or greater for twenty-four (24) consecutive months.

(b) "**Occupancy Rate**" means, as of any date, the percentage obtained by dividing (i) the aggregate rentable square footage of all residential units, office space, and retail space in the completed Project that is leased to and occupied by tenants paying rent (excluding model units, leasing offices, amenity space, and space occupied by Tenant or its Affiliates without paying rent) by (ii) the aggregate rentable square footage of all residential units, office space, and retail space in the completed Project that has been delivered and is available for lease.

(c) Tenant shall demonstrate satisfaction of the condition by delivering a certificate of its chief financial officer, together with a rent roll and such supporting information as Landlord may reasonably request. Landlord shall have ten (10) Business Days after receipt to object in writing, specifying in reasonable detail the basis for its objection. If Landlord does not object within such period, the reduction shall be deemed approved. If Landlord objects, the parties shall submit the matter to an Expert under Section 18.3(c), and any adjustment shall be made within ten (10) Business Days after the determination.

(d) The reduction is a one-time reduction. If the Occupancy Rate later falls below ninety percent (90%), the Security Deposit shall not be increased, and the reduction shall not be revoked.

(e) Tenant may effect the reduction by delivering a replacement letter of credit in the reduced amount (or by directing the issuing bank to reduce the stated amount) and, if a cash deposit was provided, Landlord shall return the excess within ten (10) Business Days after the reduction is approved.

Section 8.4 Draws.

(a) Landlord may draw upon the Security Deposit only upon the occurrence and during the continuance of an uncured Tenant Event of Default, and only in the amount of the monetary obligations then due and unpaid, or of the actual, documented, direct damages sustained by Landlord as a result of the Tenant Event of Default, in each case determined in accordance with this Lease.

(b) Landlord shall deliver notice of any intended draw to Tenant and to each Leasehold Mortgagee not less than ten (10) Business Days before presentation of the draw, and shall not draw (i) any amount disputed by Tenant in good faith and as to which Tenant has commenced a dispute under Section 18.3, (ii) any amount that a Leasehold Mortgagee has cured or has elected to cure within its cure period under Section 10.3, or (iii) any amount in excess of the amounts permitted under Section 8.4(a).

(c) Amounts drawn shall be applied to the Tenant obligations giving rise to the draw, and Landlord shall deliver to Tenant a written accounting within ten (10) Business Days after any draw.

(d) If any draw is determined to have been improper, Landlord shall repay the amount, with interest at eight percent (8%) per annum, within ten (10) Business Days after such determination.

Section 8.5 Replenishment.

Tenant shall replenish any properly drawn amount within thirty (30) days after a draw. If Tenant disputes a draw in good faith, replenishment of the disputed portion shall be deferred until the dispute is resolved, and Tenant shall then replenish within thirty (30) days after resolution.

Section 8.6 Maintenance of the Security Deposit.

Tenant shall maintain the Security Deposit in full force and effect throughout the Term. If the rating of the issuing bank falls below the required level, Tenant shall, within sixty (60) days after notice from Landlord, deliver a replacement letter of credit from a qualifying institution; Tenant shall not be in default under this Section 8.6 if it is diligently pursuing a replacement and delivers it within such period. If the letter of credit has an expiration date, Tenant shall deliver a renewal or replacement not later than thirty (30) days before expiration, and Tenant shall not be in default if the issuing bank fails to renew through no fault of Tenant and Tenant delivers a replacement within thirty (30) days after such failure.

Section 8.7 Return.

Landlord shall return the Security Deposit, or the undrawn balance, to Tenant within thirty (30) days after the expiration of the Term or the earlier termination of this Lease, less any amount properly applied under Section 8.4 and Section 7.9. Landlord shall not be entitled to hold the Security Deposit after the expiration of such period, and any retention thereafter shall bear interest at eight percent (8%) per annum.

Section 8.8 Transfers.

Upon a permitted Transfer under Article 11, Landlord shall, at Tenant’s request and cost, cooperate in the transfer or replacement of the Security Deposit to or for the benefit of the transferee, and Landlord shall not require an increase in the Security Deposit by reason of any Transfer.

ARTICLE 9. USE; OPERATIONS; AFFORDABLE HOUSING; OPEN SPACE; MAINTENANCE

Section 9.1 Permitted Uses.

The Premises may be used for the following purposes and for no other purpose: (a) residential apartments for rent only (no condominium, cooperative, or for-sale units); (b) Class A office; (c) ground-floor retail, excluding adult entertainment establishments, firearms sales, pawnshops, and gasoline service stations; (d) restaurants, including those licensed for liquor service by the Connecticut Department of Consumer Protection; (e) accessory structured and below-grade parking; and (f) uses ancillary to the foregoing, including amenity space, leasing offices, management offices, and building systems.

Section 9.2 Prohibited Uses.

No industrial, manufacturing, warehousing, or self-storage use shall be permitted. No use shall be permitted that (a) violates the ELUR, the Remediation Standard Regulations, the Affordable Housing Covenant, or any other Applicable Law; (b) constitutes a nuisance or unreasonably interferes with the use and enjoyment of neighboring property; (c) creates a material risk of fire, explosion, or release of Hazardous Materials beyond the quantities customary for the operation of a mixed-use project; or (d) would impair the insurability of the Premises or the Improvements.

Section 9.3 Ground-Floor Uses; ELUR Restriction.

(a) Tenant shall not construct dwelling units on the ground floor of any building within the Project, and no habitable residential space shall be located at or below finished grade, in compliance with the ELUR.

(b) The ground floor of the Residential Tower may be used for retail and commercial tenancies and for non-habitable ancillary building functions, including the residential lobby, leasing office, package and mail room, building management office, mechanical, electrical, and plumbing rooms, parking, loading, bicycle storage, and resident amenity areas (including a fitness center and resident lounge).

(c) The parties acknowledge the interpretive ambiguity described in Section 5.6(b). Tenant's rights under Section 5.6(d) and Section 5.6(e) (redesign or termination) are Tenant's sole remedies for any determination by DEEP that any such ground-floor ancillary use is prohibited by the ELUR, and no such determination shall constitute a Tenant Event of Default.

(d) Affordable dwelling units shall be located exclusively on the second floor and above, in accordance with the recommendation of Halcyon Environmental Consultants Inc. in the Phase II Environmental Site Assessment.

Section 9.4 Affordable Housing.

(a) **Requirement.** Not less than fifteen percent (15%) of the residential dwelling units constructed within the Project shall be designated as affordable housing units available to households earning at or below eighty percent (80%) of Area Median Income, for the duration of the Term (the "Affordable Units"). The requirement shall not be reduced, eliminated, or relocated off the Premises, and shall be documented in a recorded declaration or regulatory agreement reasonably satisfactory to Landlord and consistent with the recorded Affordable Housing Restrictive Covenant (Volume 408, Page 230 of the Port Calloway Land Records).

(b) **Calculation.** The number of Affordable Units shall be calculated on the basis of the total number of residential dwelling units in the Project as finally designed, rounded up to the next whole unit. If the total unit count changes during the Term by reason of renovation, conversion, or partial demolition, the fifteen percent (15%) requirement shall be recalculated on the basis of the revised unit count, and Tenant shall designate or de-designate units so as to maintain at least fifteen percent (15%) Affordable Units.

(c) **Area Median Income.** Area Median Income shall be determined annually by the U.S. Department of Housing and Urban Development for the metropolitan statistical area applicable to the City of Port Calloway. The parties acknowledge that the recorded Affordable Housing Restrictive Covenant identifies the New Haven-Milford, Connecticut Metropolitan Statistical Area, that the Term Sheet refers to the "Port Calloway Metropolitan Statistical Area," and that the ALTA/NSPS Survey narrative refers to the Bridgeport-Stamford-Norwalk HUD Metro Fair Market Rent

Area. The recorded covenant governs, and, if HUD changes the applicable geographic area in which Port Calloway is located, the successor HUD area applicable to Port Calloway shall govern. The parties shall execute an amended or supplemental declaration to conform the recorded covenant to the HUD area actually applicable, at Tenant's cost, upon request of either party.

(d) **Distribution and Unit Mix.** Affordable Units shall be distributed proportionately across unit types (studio, one-bedroom, two-bedroom, and larger units) and shall not be concentrated on any single floor or in any single building segment, to the extent consistent with Applicable Law and the recorded covenant.

(e) **Marketing, Verification, and Compliance.** Tenant shall market Affordable Units in accordance with an affirmative marketing plan, verify household income at initial occupancy and annually thereafter, and deliver to Landlord an annual compliance certificate with a rent roll identifying the Affordable Units, unit sizes, rents charged, and household income bands. Tenant may engage a qualified compliance administrator, and its reasonable costs shall be an operating expense of the Project.

(f) **Enforcement.** If Landlord believes Tenant is not in compliance with this Section 9.4, Landlord shall deliver written notice specifying the alleged non-compliance, and Tenant shall have sixty (60) days to cure (or, if the non-compliance cannot reasonably be cured within sixty (60) days, to commence cure and diligently pursue it to completion). Landlord's sole remedies for non-compliance with this Section 9.4 shall be specific performance and injunctive relief. Non-compliance with this Section 9.4 shall not constitute a Tenant Event of Default, shall not give rise to any right of termination, reverter, or forfeiture, and shall not entitle Landlord to draw upon the Security Deposit.

(g) **No Reduction by Landlord.** Landlord shall not amend, modify, release, or subordinate the Affordable Housing Restrictive Covenant in any manner that would reduce the requirement, and shall not consent to any such reduction.

Section 9.5 Public Open Space.

(a) The Project shall include not less than eight thousand (8,000) square feet of publicly accessible open space on the waterfront (eastern) side of the Premises, designed and maintained by Tenant at its sole cost, and connected to the existing public pedestrian promenade.

(b) The design and programming of the public open space shall be subject to Landlord's reasonable approval, exercised concurrently with, and within the same time period as, the City's site plan review process. If Landlord does not deliver written objections within thirty (30) days after Tenant's submission of the open space design, the design shall be deemed approved. Landlord's approval shall not be conditioned on any element that would materially increase Tenant's cost or reduce the developable area of the Premises beyond the requirements of the Approvals.

(c) The public open space shall not be dedicated to the public, shall not be conveyed to Landlord or the City, and shall remain part of the Premises and, upon the expiration or termination of this Lease, shall pass to Landlord with the Improvements without additional compensation, subject to Section 16.2.

(d) Tenant may establish reasonable rules and hours for the public open space consistent with public access and the pedestrian easement, may close the space temporarily for maintenance, emergencies, or events, and shall not be required to accept or host any event or programming proposed by Landlord or the City except as Tenant may agree.

(e) Landlord shall indemnify, defend, and hold harmless Tenant from and against all claims, liabilities, losses, and expenses arising from the use of the public pedestrian access easement, the waterfront promenade, and the public open space by members of the public, except to the extent caused by Tenant's negligence in the maintenance of the public open space or by a condition created by Tenant. Landlord and the City shall maintain their respective insurance covering the promenade and the easement areas, and each party waives subrogation against the other to the extent of insurance proceeds received.

Section 9.6 Maintenance and Repair; Bulkhead.

(a) Tenant shall maintain, repair, and replace the Premises and the Improvements in good order, condition, and repair throughout the Term, reasonable wear and tear, Casualty, and Condemnation excepted, and shall keep the Premises free of liens, rubbish, and unsafe conditions.

(b) **Bulkhead.** The parties acknowledge that the approximately 480 linear feet of bulkhead along the eastern boundary is in fair to poor condition, as described in the Phase II Environmental Site Assessment and the Survey, and that its rehabilitation or replacement is not included in the environmental remediation cost estimates. Tenant shall be responsible for the cost of rehabilitating or replacing the bulkhead as necessary for the construction and operation of the Project; provided, however, that Landlord shall reimburse Tenant for the portion of such cost attributable to the deteriorated condition of the bulkhead existing as of the Lease Commencement Date (as distinguished from the cost attributable to the Project's design, the required design loads, flood and coastal resilience requirements, and Tenant's improvements), as determined by an independent marine structural engineer jointly engaged by the parties within sixty (60) days after the Lease Commencement Date. If the parties cannot agree on the engineer, the engineer shall be appointed by the Expert procedure in Section 18.3(c). Landlord shall pay its share within thirty (30) days after the engineer's determination, or, at Tenant's election, Landlord's share shall be credited against Base Rent. Landlord's obligation under this Section 9.6(b) is in addition to, and not in lieu of, Landlord's obligations under Section 17.1(g) with respect to the pending mechanics' lien, and does not extend to the cost of bulkhead maintenance or replacement attributable to conditions arising after the Lease Commencement Date.

(c) Tenant shall be responsible for all maintenance, repair, and replacement of the bulkhead and all waterfront structures after the Lease Commencement Date, including compliance with any permit or condition applicable to the pedestrian easement area.

Section 9.7 Operational Standards.

Tenant shall operate the Project in a first-class manner consistent with institutional-quality mixed-use properties in the region, shall provide customary management, security, cleaning, and life-safety services, and may engage Affiliates as manager, leasing agent, or developer without Landlord’s consent, provided that any such engagement is on arm’s-length terms.

Section 9.8 Compliance with Laws; Accessibility.

Tenant shall cause the Project to comply with all Applicable Law, including the Connecticut State Building Code, the Connecticut Fire Safety Code, the accessibility provisions of the Americans with Disabilities Act and the Connecticut Fair Housing Act, floodplain management requirements, and the ELUR. Tenant shall maintain the minimum finished floor elevation required by the Approvals and Applicable Law, and the parties acknowledge that Tenant may elect to construct the ground floor at a finished floor elevation above fifteen (15) feet NAVD88 in order to address sea level rise and coastal resilience standards, including the standards described in Section 5 of the Phase II Environmental Site Assessment and Connecticut Public Act 23-167; no such election shall require Landlord’s consent or constitute a breach of this Lease.

Section 9.9 Signage.

Tenant may install building identification, retail, and directional signage consistent with the Approvals and applicable sign regulations, without Landlord’s consent. Any signage that advertises Landlord or the City shall be subject to Landlord’s prior written approval.

Section 9.10 Landlord Access.

Landlord and its agents may enter the Premises for inspection, to perform its obligations, or to comply with Applicable Law, upon not less than forty-eight (48) hours’ prior written notice (except in an emergency, in which case notice shall be given as soon as practicable), at reasonable times, in a manner that does not unreasonably interfere with the operation of the Project, and subject to Tenant’s reasonable security and confidentiality requirements. Landlord shall treat as confidential all information regarding Tenant’s operations, revenues, tenants, and financing obtained through any entry, and shall not disclose the same except as required by law or in connection with the enforcement of this Lease.

Section 9.11 Tenant’s Personal Property and Fixtures.

All Improvements shall be and remain Tenant’s property during the Term (subject to the Leasehold Mortgage), and Tenant shall have the right to finance, encumber, insure, replace, alter, and (subject to Article 16) remove its Trade Fixtures and Personal Property.

ARTICLE 10. LEASEHOLD MORTGAGE AND LENDER PROTECTIONS

Section 10.1 Right to Encumber.

(a) Tenant may, without Landlord's consent, joinder, or approval, and without payment of any fee, charge, or other consideration to Landlord, grant one or more Leasehold Mortgages encumbering Tenant's entire leasehold interest in the Premises together with the Improvements, fixtures, and appurtenances, to any Qualified Mortgagee. No approval, consent, or other condition from Landlord shall be required for the recording, enforcement, foreclosure, or assignment of any Leasehold Mortgage.

(b) Landlord shall, upon request, execute and deliver a commercially reasonable consent to the Leasehold Mortgage, an estoppel certificate under Section 18.4, and the SNDA under Section 10.7, and shall reasonably cooperate with any Leasehold Mortgagee's due diligence, including by providing copies of this Lease, the Permitted Exceptions, and such title, survey, and environmental materials as are in Landlord's possession.

Section 10.2 Notices to Leasehold Mortgagee.

Landlord shall deliver to each Leasehold Mortgagee, simultaneously with delivery to Tenant, a copy of every notice of default, notice of termination, Milestone Notice, notice of Landlord's exercise of the reverter right or of the right of first refusal, and any other notice materially affecting Tenant's leasehold interest, at the address designated by such Leasehold Mortgagee in writing (initially, Bayside Federal Lending Corp., 200 Atlantic Boulevard, Stamford, Connecticut 06902, Attention: Sandra Milliken, Senior Vice President, Commercial Real Estate Lending, with a copy to Bayside's counsel as designated). Failure to deliver any such notice to a Leasehold Mortgagee shall render the notice ineffective as to such Leasehold Mortgagee and shall suspend the running of Landlord's remedies until a copy is delivered.

Section 10.3 Leasehold Mortgagee Cure Rights.

(a) **Monetary defaults.** Each Leasehold Mortgagee shall have sixty (60) days after its receipt of notice of any monetary default by Tenant to cure such default on Tenant's behalf.

(b) **Non-monetary defaults.** Each Leasehold Mortgagee shall have ninety (90) days after its receipt of notice of any non-monetary default by Tenant to cure such default, or, if such cure cannot reasonably be completed within ninety (90) days, to commence cure within such period and thereafter diligently and continuously prosecute the cure to completion, in which case the cure period shall extend for such time as is reasonably necessary, not to exceed an additional one hundred eighty (180) days.

(c) **Milestone Failures.** Each Leasehold Mortgagee shall have one hundred eighty (180) days after its receipt of a Milestone Notice to cure the Milestone Failure, by any of the means described in Section 7.6(c).

(d) **Additional, not concurrent.** The cure periods in this Section 10.3 are in addition to, and shall not run concurrently with, the cure periods afforded to

Tenant under this Lease. No termination, reverter, forfeiture, or exercise of any remedy by Landlord that would divest Tenant of its leasehold interest shall be effective unless and until the applicable Leasehold Mortgagee cure period has expired without cure.

(e) **Cure by Mortgagee.** Landlord shall accept performance by a Leasehold Mortgagee as if performed by Tenant, and shall not be entitled to any fee, charge, or additional rent by reason of any such cure. Any amount expended by a Leasehold Mortgagee to cure shall be added to the secured obligations of the Leasehold Mortgage and shall bear interest as provided in the loan documents.

(f) **Access.** During any cure period, Landlord shall afford each Leasehold Mortgagee and its agents, designees, and prospective purchasers reasonable access to the Premises to inspect, complete, or manage the Improvements, and shall not obstruct any such party's efforts to cure.

Section 10.4 New Lease.

(a) If this Lease is terminated for any reason (including Tenant's default, voluntary surrender, rejection in any bankruptcy or insolvency proceeding, operation of law, or a Reverter Termination), each Leasehold Mortgagee (or its designee) shall have the right, exercisable by written request delivered to Landlord within sixty (60) days after such Leasehold Mortgagee's receipt of notice of termination, to obtain a new ground lease of the Premises (a "**New Lease**") on the same terms and conditions as this Lease, for the remainder of the Term (including any period that would have remained had this Lease not been terminated), subject to the following:

the New Lease shall be effective as of the date of termination of this Lease, and Landlord shall execute and deliver the New Lease within thirty (30) days after the Leasehold Mortgagee's written request;

the Leasehold Mortgagee (or its designee) shall cure all monetary defaults existing under this Lease within sixty (60) days after the effective date of the New Lease;

the Leasehold Mortgagee (or its designee) shall cure all non-monetary defaults that are reasonably susceptible of cure within ninety (90) days after the effective date of the New Lease, or, if such cure cannot reasonably be completed within such period, shall commence cure within such period and thereafter diligently pursue cure to completion, not to exceed an additional one hundred eighty (180) days;

the Leasehold Mortgagee (or its designee) shall assume all obligations under the New Lease prospectively from its effective date, and shall not be liable for any obligation or liability of Tenant arising before such date, including any obligation to pay Reverter Compensation or any Landlord Damages;

the New Lease shall have priority in all respects equal to the priority of this Lease, and shall not require any additional rent, fee, or increase in rent by reason of its execution;

the New Lease shall demise the Premises together with all Improvements, without additional rent, and no Reverter Compensation or Landlord Damages shall be payable in connection with the New Lease;

all subleases, licenses, and occupancy agreements entered into by Tenant or any subtenant before the termination shall be recognized by Landlord under the New Lease, and Landlord shall accept attornment of such subtenants; and

the New Lease shall contain the provisions of this Article 10, Article 11, and Article 13, and shall otherwise be in form reasonably acceptable to the Leasehold Mortgagee.

(b) If the Leasehold Mortgagee does not exercise its right under this Section 10.4 within the sixty (60) day period, the right shall lapse as to that Leasehold Mortgagee but shall not affect the rights of any other Leasehold Mortgagee.

(c) Landlord shall, upon the request of any Leasehold Mortgagee, execute and deliver a conditional New Lease, effective upon the occurrence of the events described in Section 10.4(a), in recordable form, within thirty (30) days after such request. Such conditional New Lease shall be delivered at the time the Leasehold Mortgage is recorded and shall satisfy the requirements of any Leasehold Mortgagee.

Section 10.5 No Surrender or Amendment Without Consent.

For so long as any Leasehold Mortgage remains in effect, Landlord shall not accept a voluntary surrender, cancellation, or termination of this Lease, and Landlord and Tenant shall not amend, modify, supplement, or terminate this Lease in any material respect, without the prior written consent of the Leasehold Mortgagee. Any purported surrender, amendment, modification, supplement, or termination effected without such consent shall be void as against the Leasehold Mortgagee, and this Lease shall continue in full force and effect as if the same had not occurred. Nothing in this Section 10.5 shall require the consent of a Leasehold Mortgagee to any amendment that (i) corrects a clerical or typographical error, (ii) does not affect the Leasehold Mortgagee’s rights under this Lease, or (iii) is required by Applicable Law and does not increase Tenant’s monetary obligations.

Section 10.6 Foreclosure, Deed in Lieu, and Assignment.

(a) Each Leasehold Mortgagee shall have the unconditional right to foreclose its Leasehold Mortgage (by judicial foreclosure, power of sale, or otherwise), to accept a deed or assignment in lieu of foreclosure, and to assign this Lease to a transferee at or following any foreclosure sale or deed-in-lieu transfer, without Landlord’s prior consent.

(b) Any transferee under this Section 10.6 shall meet reasonable financial and experience qualifications substantially similar to those required of Tenant as of the Effective Date. Landlord shall not unreasonably withhold, condition, or delay recognition of any such transferee as Tenant under this Lease, and shall execute and deliver such estoppels, consents, and other documents reasonably requested to confirm or effectuate the foreclosure, transfer, or assignment.

(c) No foreclosure, deed-in-lieu transfer, or assignment under this Section 10.6 shall constitute a Transfer for purposes of Article 11, shall trigger the right of first refusal under Section 11.5, or shall require the payment of any fee, transfer charge, or additional rent.

(d) Landlord shall not terminate this Lease by reason of any Transfer effected under this Section 10.6, and the transferee shall not be liable for any act, omission, or liability of Tenant arising before the date of the transfer.

Section 10.7 Subordination, Non-Disturbance, and Attornment Agreement.

Landlord shall execute and deliver to each Leasehold Mortgagee, on or before the Lease Commencement Date (as to Bayside) and within thirty (30) days after request (as to any other Leasehold Mortgagee), a Subordination, Non-Disturbance, and Attornment Agreement substantially in the form of **Exhibit E** and reasonably acceptable to the Leasehold Mortgagee, which shall include, at a minimum: (a) Landlord's acknowledgment of the existence, amount, and priority of the Leasehold Mortgage; (b) Landlord's agreement not to disturb the Leasehold Mortgagee's security interest or the rights of any purchaser at foreclosure or transferee by deed in lieu, so long as Tenant's obligations are performed or cured by the Leasehold Mortgagee; (c) Landlord's agreement to recognize the Leasehold Mortgagee, its designee, or any such purchaser or transferee as Tenant upon the same terms; (d) the notice and cure provisions of Section 10.2 and Section 10.3; (e) the New Lease rights of Section 10.4; (f) provisions confirming that insurance and condemnation proceeds attributable to the Improvements shall be available to the Leasehold Mortgagee as its interest may appear, subject to Section 13.6; (g) a prohibition on amendment, surrender, or termination in violation of Section 10.5; and (h) such other provisions as the Leasehold Mortgagee may reasonably require. The SNDA shall be recordable and shall be recorded at Tenant's cost.

Section 10.8 Bankruptcy and Insolvency.

If Tenant becomes a debtor in any case under Title 11 of the United States Code or any similar state insolvency proceeding:

(a) Landlord shall, within five (5) Business Days, give written notice to each Leasehold Mortgagee, and shall not object to any motion by a Leasehold Mortgagee that the trustee, debtor in possession, or other party in interest assume or reject this Lease in a timely manner consistent with 11 U.S.C. Section 365.

(b) Each Leasehold Mortgagee shall have the right to cure any default under this Lease and to provide adequate assurance of future performance on behalf of Tenant, to the extent necessary to prevent rejection of this Lease, and Landlord shall accept such performance.

(c) The New Lease rights under Section 10.4 shall survive any rejection of this Lease in bankruptcy to the fullest extent permitted by Applicable Law, and Landlord shall recognize the Leasehold Mortgagee's right to obtain a New Lease notwithstanding such rejection.

(d) This Lease shall not be deemed terminated solely by reason of the filing of a bankruptcy petition, the rejection of this Lease, or the operation of any

automatic stay, and no provision of this Lease shall constitute an ipso facto default or termination provision to the extent prohibited by 11 U.S.C. Section 365(e) or (f).

Section 10.9 Multiple Mortgagees.

If more than one Leasehold Mortgage is outstanding, Landlord may rely on the most senior Leasehold Mortgagee for all purposes of this Article 10. The Leasehold Mortgagees may, by written notice to Landlord, designate a single representative to act on their behalf, and Landlord shall deal with such representative for the purposes of Articles 10, 13, and 15.

Section 10.10 No Merger.

No merger of the leasehold estate into the fee shall occur by reason of (a) Landlord's acquisition of the leasehold estate, (b) any Transfer, (c) any foreclosure or deed in lieu, or (d) any exercise by Landlord of the right of first refusal under Section 11.5, unless Landlord and each Leasehold Mortgagee otherwise agree in writing.

Section 10.11 Mortgagee Not Obligated.

No Leasehold Mortgagee shall be obligated to perform any obligation of Tenant under this Lease except to the extent it becomes the tenant under a New Lease or acquires the leasehold estate and takes possession, and then only for obligations accruing from and after such date.

ARTICLE 11. ASSIGNMENT, SUBLETTING, AND RIGHT OF FIRST REFUSAL

Section 11.1 Transfers Requiring Consent.

Subject to Section 11.3, Tenant shall not effect a Transfer without Landlord's prior written consent, which consent shall not be unreasonably withheld, conditioned, or delayed. Any purported Transfer in violation of this Article 11 shall be void.

Section 11.2 Standard for Consent; Deemed Consent.

(a) Landlord may consider only (i) the financial capacity of the proposed transferee, (ii) the experience of the proposed transferee in the ownership or operation of properties similar to the Project, and (iii) whether the proposed transferee's intended use is a Permitted Use. Landlord may not withhold consent by reason of the transferee's identity as a competitor, institutional investor, or fund, or by reason of the structure of a financing.

(b) Landlord shall not charge any fee, transfer premium, or other consideration in connection with any consent, other than reimbursement of Landlord's reasonable out-of-pocket legal costs, not to exceed $7,500 per Transfer.

(c) If Landlord does not deliver a written response within twenty (20) Business Days after receipt of a complete request for consent (including the information described in Section 11.2(a)), Landlord shall be deemed to have consented.

Section 11.3 Permitted Transfers.

The following (each, a "**Permitted Transfer**") may be made without Landlord's consent and without triggering the right of first refusal:

(a) any Transfer to an Affiliate of Tenant;

(b) any Transfer of direct or indirect interests in Tenant or in any member or partner of Tenant, including (i) the pledge of one hundred percent (100%) of the membership interests in Tenant to Bayside or any other Leasehold Mortgagee, (ii) any foreclosure of, or transfer in lieu of foreclosure of, such pledged interests, (iii) the admission or withdrawal of members, (iv) any recapitalization, and (v) any transfer of interests by reason of death, disability, divorce, or estate planning;

(c) any Transfer to a Qualified Mortgagee, and any Transfer by a Leasehold Mortgagee or its designee under Section 10.6;

(d) any Transfer by reason of merger, consolidation, conversion, or reorganization of Tenant, provided that the surviving entity assumes this Lease;

(e) any Transfer to a joint venture, partnership, or co-investment vehicle in which Tenant or an Affiliate holds an interest, and any Transfer to a real estate investment trust or an umbrella partnership real estate investment trust;

(f) any sublease of individual units or portions of the Project in the ordinary course under Section 11.4;

(g) any Transfer by operation of law, including a Transfer by devise, descent, or bankruptcy; and

(h) any Transfer to a replacement developer, general contractor, or property manager installed by a Leasehold Mortgagee under Section 7.6(c), or to any Person acquiring the leasehold estate in a transaction approved by the Leasehold Mortgagee.

Section 11.4 Subletting.

Tenant may sublease individual residential units, office floors, and retail spaces, and may grant licenses and occupancy agreements, in the ordinary course of the operation of the Project without Landlord's consent. Any sublease of the entire Premises, or of substantially all of the Premises, to a single subtenant shall require Landlord's consent, which shall not be unreasonably withheld, conditioned, or delayed and shall be subject to Section 11.2. No sublease shall release Tenant from its obligations under this Lease.

Section 11.5 Right of First Refusal.

(a) During the period from the Lease Commencement Date through September 30, 2045 (the "**ROFR Period**"), if Tenant proposes to Transfer this Lease (in whole) to a Person that is not an Affiliate for consideration, Landlord shall have a right of first refusal to acquire Tenant's leasehold interest on the same terms and subject to the conditions of the proposed Transfer.

(b) Tenant shall deliver written notice (an "**Assignment Notice**") identifying the proposed transferee, the material terms (including price), and a copy of the proposed agreement or letter of intent. Landlord shall have sixty (60) days after receipt to elect to acquire the leasehold interest by written notice to Tenant.

(c) If Landlord elects, the closing shall occur within sixty (60) days after Landlord's election (or concurrently with the proposed Transfer, if later), on the terms set forth in the Assignment Notice, and Landlord shall pay all transfer taxes and recording costs. If Landlord fails to close when required, the election shall lapse and the right of first refusal shall terminate as to that proposed Transfer.

(d) If Landlord does not elect within the sixty (60) day period, Tenant may complete the proposed Transfer to the identified transferee on terms no more favorable to the transferee than those set forth in the Assignment Notice, at any time within one hundred eighty (180) days after the expiration of such period, without further offer to Landlord. If the Transfer does not close within such period or the terms become more favorable to the transferee, the right of first refusal shall be reinstated.

(e) The right of first refusal shall expire at the end of the ROFR Period and shall not apply to any Transfer occurring after September 30, 2045.

Section 11.6 Carve-Outs from the Right of First Refusal; Recorded Declaration.

(a) The right of first refusal shall not apply to, and the term "Transfer" shall not include, any of the following: (i) the grant, amendment, renewal, replacement, enforcement, or foreclosure of any Leasehold Mortgage; (ii) any Transfer by a Leasehold Mortgagee or its designee under Section 10.6, including any assignment following foreclosure or deed in lieu; (iii) any Permitted Transfer under Section 11.3; (iv) any sublease under Section 11.4; (v) any Transfer of direct or indirect equity interests in Tenant; (vi) any involuntary Transfer; (vii) any Transfer to a replacement developer or manager installed by a Leasehold Mortgagee under Section 7.6(c); and (viii) any Transfer of the Premises or any interest therein to a Governmental Authority by reason of Condemnation.

(b) Landlord and Tenant acknowledge that a Declaration of Right of First Refusal dated September 8, 2019, recorded at Volume 405, Page 55 of the Port Calloway Land Records (the "**ROFR Declaration**"), is a matter of record and, as recorded, contains no exception for transfers resulting from foreclosure, deed in lieu of foreclosure, the exercise of remedies by a leasehold mortgagee, or assignments by a leasehold mortgagee or its designee following foreclosure. The ROFR Declaration also, by its terms, extends to any proposed assignment of "the leasehold interest in the land," which would literally encompass the grant of a Leasehold Mortgage.

(c) Landlord shall, on or before the Lease Commencement Date, execute, deliver, and record an amendment to the ROFR Declaration, in form reasonably satisfactory to Tenant, Bayside, and the title company, which (i)

implements the carve-outs in Section 11.6(a), (ii) confirms that the grant, enforcement, and foreclosure of a Leasehold Mortgage does not constitute an assignment of the leasehold interest for purposes of the ROFR Declaration, (iii) confirms that the ROFR Declaration applies only during the ROFR Period, and (iv) subordinates the ROFR Declaration to this Lease and to the Leasehold Mortgages. The delivery and recording of such amendment is a condition to the Lease Commencement Date under Section 2.6(a)(ix).

(d) Landlord shall not exercise, and shall not assign, the right of first refusal in a manner that would impair the Leasehold Mortgagee's security interest, and any exercise of the right of first refusal shall be subject to Section 10.10 (no merger) and to the Leasehold Mortgagee's rights under Article 10.

Section 11.7 Conditions to Transfers.

(a) Each Transfer (other than a Permitted Transfer of equity interests) shall be documented by a written assumption agreement under which the transferee assumes all obligations of Tenant under this Lease arising after the transfer date.

(b) For a Permitted Transfer to an Affiliate, or a Transfer to a transferee with a tangible net worth not less than Tenant's tangible net worth as of the Effective Date, Tenant shall be released from the obligations of this Lease arising after the transfer date, and Landlord shall execute a release reasonably requested by Tenant or the Leasehold Mortgagee.

(c) For any other Transfer, Tenant shall remain liable for obligations accruing before the transfer date and shall guarantee the transferee's obligations for so long as Tenant (or its successor) retains a direct or indirect interest in the transferee.

ARTICLE 12. INSURANCE

Section 12.1 Required Coverages.

Tenant shall procure and maintain, at its sole cost, with financially sound and reputable insurers authorized to do business in Connecticut and having an A.M. Best rating of not less than A-VIII (or an equivalent rating), the following coverages:

Coverage	Minimum Limits and Requirements
Commercial General Liability	$10,000,000 per occurrence; $20,000,000 annual aggregate; occurrence form; covering bodily injury, property damage, personal and advertising injury; premises-operations, products-completed operations, contractual liability, and pollution buy-back to the extent available
Umbrella or Excess Liability	$25,000,000 per occurrence and in the aggregate, following form over the general liability, automobile, and employers liability coverages
All-Risk Property	Replacement cost (without deduction for depreciation) on all Improvements, including

Coverage	Minimum Limits and Requirements
	fire, windstorm, named storm, flood, vandalism, malicious mischief, and all risks customarily insured; agreed-amount endorsement; ordinance or law coverage; equipment breakdown
Builder’s Risk	During construction, completed value form covering the full value of the work in progress, materials stored on or off site, and soft costs; including flood and windstorm, subject to Section 12.4
Flood	As provided in Section 12.4
Environmental Liability (Pollution Legal Liability)	$5,000,000 per occurrence and $10,000,000 in the aggregate, covering pollution conditions on, at, under, or migrating from the Premises, including remediation costs, third-party bodily injury and property damage, and defense costs
Workers’ Compensation and Employers Liability	Statutory limits under Connecticut law; employers liability of not less than $1,000,000
Business Income and Rental Value	Not less than eighteen (18) months of actual loss sustained, including rent abatement and continuing expense coverage
Automobile Liability	$1,000,000 combined single limit for owned, hired, and non-owned vehicles used in connection with the Premises

Section 12.2 Policy Terms.

(a) All policies shall be written by insurers authorized to do business in Connecticut, shall provide that they may not be canceled or materially reduced without at least thirty (30) days’ prior written notice to Landlord and each Leasehold Mortgagee (ten (10) days for non-payment of premium), and shall waive subrogation against Landlord, Landlord’s commissioners, officers, and employees, and each Leasehold Mortgagee, to the extent of insurance proceeds received.

(b) Tenant may satisfy any coverage through blanket, umbrella, or difference-in-conditions policies, and may self-insure deductibles and self-insured retentions customary for institutional owners of comparable properties, not to exceed $2,500,000 per occurrence for property coverages and $1,000,000 for liability coverages, provided that Tenant maintains a tangible net worth consistent with such retentions.

(c) Landlord shall be named as an additional insured on the commercial general liability, umbrella, and automobile policies, and as a loss payee on the property policy solely with respect to Landlord’s interest as fee owner and reversioner. Each Leasehold Mortgagee shall be named as an additional insured and mortgagee/loss payee as its interest may appear, as required by the loan documents, and the interests of the Leasehold Mortgagee shall take priority over those of Landlord with respect to proceeds attributable to the Improvements.

(d) Landlord shall maintain, at its sole cost, insurance on its fee interest and shall not look to Tenant’s policies for coverage of the fee interest or for payment of Landlord’s deductible.

Section 12.3 Certificates; Evidence.

Tenant shall deliver certificates of insurance to Landlord and each Leasehold Mortgagee before the Lease Commencement Date and annually thereafter, and shall deliver copies of policies upon reasonable request. Tenant’s failure to maintain the required coverage shall entitle Landlord to procure it and to be reimbursed within thirty (30) days after invoice, which reimbursement may be offset against Base Rent.

Section 12.4 Flood Insurance.

(a) The Premises are located in FEMA Flood Zone AE with a Base Flood Elevation of twelve (12) feet NAVD88, and approximately sixty percent (60%) of the site area lies at or below the Base Flood Elevation. The parties acknowledge that the maximum coverage available under the National Flood Insurance Program is materially less than the replacement cost of the Improvements.

(b) Tenant shall maintain flood insurance in an amount not less than the lesser of (i) the probable maximum loss attributable to flood as determined by a qualified insurance consultant, and (ii) the maximum limit available from commercial insurers at commercially reasonable rates, which coverage may be provided through private market, excess, or difference-in-conditions policies and need not be obtained through the National Flood Insurance Program.

(c) Tenant shall not be required to maintain flood coverage in an amount exceeding the amount required by the Leasehold Mortgagee or customarily required for comparable waterfront properties in the northeastern United States. If flood coverage is not available at commercially reasonable rates, Tenant shall so certify to Landlord in writing, and Tenant’s obligation shall be limited to the coverage actually obtainable, provided that Tenant pursues such coverage diligently.

Section 12.5 Commercially Reasonable Availability.

If any coverage required by this Article 12 (other than commercial general liability, property, and workers’ compensation) ceases to be available at commercially reasonable cost, Tenant shall notify Landlord and each Leasehold Mortgagee in writing, and Tenant’s obligation with respect to that coverage shall be limited to the coverage available at commercially reasonable cost. Landlord may, at its election and cost, procure the additional coverage for its own benefit.

Section 12.6 Waiver of Subrogation.

Landlord and Tenant each waive, and shall cause their respective insurers to waive, all rights of subrogation against the other and against the Leasehold Mortgagees for any loss or damage covered by insurance, to the extent of

insurance proceeds received, regardless of the negligence of the released party. This mutual waiver shall survive the expiration or termination of this Lease.

ARTICLE 13. CASUALTY AND CONDEMNATION

Section 13.1 Restoration.

(a) If a Casualty occurs, Tenant shall, subject to Section 13.3, restore the Improvements to substantially their pre-Casualty condition (or to a condition of at least equivalent value and utility), in compliance with Applicable Law, using available insurance proceeds, with reasonable diligence and in accordance with plans approved by Landlord if the restoration materially changes the exterior appearance of the Project (such approval not to be unreasonably withheld or delayed).

(b) Tenant's restoration obligation is conditioned upon (i) the availability of insurance proceeds (including proceeds held by a Leasehold Mortgagee) sufficient to complete the restoration, together with any amounts Tenant elects to fund, and (ii) the Leasehold Mortgagee's consent to disbursement of proceeds where required by the loan documents.

(c) Landlord shall cooperate in the restoration, including by executing any application, consent, or plan approval required by a Governmental Authority, within fifteen (15) Business Days after request.

Section 13.2 Rent Abatement.

Base Rent and Percentage Rent shall abate from the date of the Casualty in proportion to the portion of the Project rendered unusable and not used by tenants, until the earlier of (a) substantial completion of the restoration and (b) the date the affected space is again usable. The abatement shall be equitable and shall be calculated on the basis of the rentable area actually rendered unusable. Landlord shall credit against rent any business income or rental value insurance proceeds allocable to the abated period, so that Landlord receives the benefit of such proceeds only to the extent of rent otherwise payable.

Section 13.3 Termination on Casualty.

Either party may terminate this Lease by written notice delivered within ninety (90) days after a Casualty if:

(a) the cost of restoration, as determined by an independent contractor or estimator reasonably acceptable to both parties, exceeds the insurance proceeds available for restoration by more than the greater of (i) fifteen percent (15%) of such cost and (ii) Ten Million Dollars ($10,000,000);

(b) the restoration cannot reasonably be completed within twenty-four (24) months after the Casualty by reason of Applicable Law or the absence of Approvals;

(c) the Casualty occurs during the last ten (10) years of the Term; or

(d) the Casualty is an uninsured loss exceeding Twenty-Five Million Dollars ($25,000,000).

Upon any such termination: (i) rent shall be prorated to the date of termination; (ii) Tenant shall be entitled to all insurance proceeds attributable to the Improvements and to its leasehold interest, and Landlord shall be entitled to proceeds attributable to the Land only, in accordance with Section 12.2(c); (iii) Tenant may remove its Trade Fixtures and salvage; (iv) no Reverter Compensation or Landlord Damages shall be payable; and (v) the obligations that expressly survive shall continue. A termination under this Section 13.3 shall not constitute a Milestone Failure.

Section 13.4 Condemnation; Allocation of Award.

(a) If all or substantially all of the Premises is taken by Condemnation, this Lease shall terminate as of the date of taking, and rent shall be prorated.

(b) The award shall be allocated between Landlord and Tenant as follows:

Landlord shall receive the portion of the award attributable to Landlord's fee interest in the Land, valued as a fee simple estate subject to this Lease (taking into account the Base Rent then payable, the portion of the Term remaining, and the reversion);

Tenant shall receive the portion of the award attributable to (A) Tenant's leasehold estate, including any bonus value, (B) the Improvements, (C) Tenant's Trade Fixtures and Personal Property, (D) moving, relocation, and re-establishment expenses, and (E) business interruption losses for the period of restoration or relocation; and

if the total award exceeds the sum of the values determined under clauses (i) and (ii), the excess shall be allocated fifty percent (50%) to Landlord and fifty percent (50%) to Tenant.

(c) If the parties cannot agree on the allocation within sixty (60) days after the award is determined (by judgment, settlement, or agreement), the allocation shall be determined by the appraisal procedure in Section 7.7(b), applied to the values described in Section 13.4(b).

(d) Nothing in this Section 13.4 shall limit Tenant's right to prosecute a separate claim for any item described in Section 13.4(b)(ii) to the extent permitted by Applicable Law, and Landlord shall not assert that any portion of the award belongs to it by reason of its fee ownership other than as provided in Section 13.4(b)(i).

Section 13.5 Partial Condemnation.

If a Condemnation affects a portion of the Premises but does not render the Premises unsuitable for the Permitted Uses, this Lease shall continue as to the remainder, and: (a) Tenant shall restore the remaining Improvements to the extent practicable; (b) Base Rent shall be equitably reduced in proportion to the reduction in the value of the leasehold estate, taking into account the portion of the Premises taken and the effect on the Project's operations; and (c) Tenant may terminate this Lease if (i) more than twenty percent (20%) of the Premises is taken, (ii) more than twenty-five percent (25%) of the parking serving the Project is taken, or (iii) access to the Premises is materially impaired.

Section 13.6 Mortgagee Rights.

Any proceeds or award payable to Tenant under this Article 13 shall be paid to the Leasehold Mortgagee to the extent required by the Leasehold Mortgage or the SNDA, and Landlord shall execute any document reasonably requested to confirm the Leasehold Mortgagee's right to such proceeds. Landlord's share of any award shall be paid to Landlord, subject to its obligations under any fee mortgage.

Section 13.7 Temporary Taking.

A Condemnation of the temporary use of all or a portion of the Premises shall not terminate this Lease, and Tenant shall be entitled to the entire award for such temporary taking during the Term, and rent shall equitably abate for the period of the taking.

ARTICLE 14. LANDLORD DEFAULT; TENANT REMEDIES

Section 14.1 Landlord Events of Default.

Each of the following constitutes a Landlord Event of Default:

(a) Landlord's failure to perform any material obligation under this Lease (including its obligations under Section 2.6, Article 5, Section 6.3, Section 9.5(e), Section 9.6(b), Section 10.3, Section 10.7, and Section 17.1), which failure continues for thirty (30) days after written notice from Tenant, or, if the failure cannot reasonably be cured within thirty (30) days, Landlord's failure to commence cure within such period and thereafter diligently prosecute it to completion;

(b) Landlord's failure to pay any amount due to Tenant under this Lease within thirty (30) days after written demand;

(c) any failure of the tax abatement giving rise to Tenant's rights under Section 6.4;

(d) any misrepresentation by Landlord in Section 5.1 or Section 17.1; or

(e) Landlord's assertion of a reverter or forfeiture in violation of Article 7, or Landlord's interference with Tenant's quiet enjoyment, Leasehold Mortgage, or rights under Article 10.

Section 14.2 Notice and Cure.

All Landlord cure periods shall be extended by such additional time as is reasonably necessary where the cure requires action by the City of Port Calloway or another Governmental Authority, provided that Landlord diligently pursues such action and keeps Tenant informed.

Section 14.3 Tenant Remedies.

Upon a Landlord Event of Default, Tenant may, at its election and in addition to any other remedy available at law or in equity: (a) cure the default on Landlord's behalf and offset the reasonable cost against Base Rent under Section 3.5; (b) seek specific performance or injunctive relief; (c) recover damages, including the diminution in value of the leasehold estate and all reasonable costs and attorneys'

fees; and (d) if the default materially and adversely affects Tenant's ability to develop or operate the Project and is not cured within one hundred twenty (120) days after notice, terminate this Lease without payment of any Reverter Compensation or Landlord Damages, in which case Tenant shall be entitled to the return of the Security Deposit and payment of the unapplied Remediation Credit, and Landlord shall be liable for Tenant's damages.

Section 14.4 Rent Offset for Landlord Default.

If Landlord fails to perform an obligation the cost of which is ascertainable, Tenant may, after the expiration of the applicable cure period and upon ten (10) Business Days' prior written notice, perform the obligation and offset the reasonable cost against Base Rent. Tenant shall not be liable for any act or omission of Landlord in performing such obligation, and Landlord shall indemnify Tenant for any claim arising from Tenant's performance of Landlord's obligation, except to the extent caused by Tenant's negligence.

Section 14.5 Quiet Enjoyment.

Landlord covenants that, so long as no Tenant Event of Default exists, Tenant shall peaceably and quietly hold and enjoy the Premises for the Term without hindrance or interruption by Landlord or any Person claiming by, through, or under Landlord, subject to the terms of this Lease and the Permitted Exceptions.

ARTICLE 15. TENANT DEFAULT; LANDLORD REMEDIES

Section 15.1 Tenant Events of Default.

Each of the following constitutes a Tenant Event of Default:

(a) Tenant's failure to pay Base Rent, Percentage Rent, or any other monetary obligation within ten (10) Business Days after written notice from Landlord that such amount is past due;

(b) Tenant's failure to perform any material non-monetary obligation within thirty (30) days after written notice from Landlord specifying the failure, or, if the failure cannot reasonably be cured within thirty (30) days, Tenant's failure to commence cure within such period and thereafter diligently prosecute it to completion;

(c) a Milestone Failure that is not cured within the Milestone Cure Period and the applicable Leasehold Mortgagee cure periods, subject to Article 7;

(d) Tenant's filing of a voluntary petition in bankruptcy, the entry of an order for relief in an involuntary proceeding that is not dismissed within sixty (60) days, or Tenant's making a general assignment for the benefit of creditors, in each case subject to Section 10.8; or

(e) any material misrepresentation by Tenant in this Lease or in any certificate delivered under it, which misrepresentation is not cured or corrected within thirty (30) days after notice.

Section 15.2 Additional Notice Requirements.

Landlord shall deliver each notice of a Tenant Event of Default simultaneously to each Leasehold Mortgagee, and no Tenant Event of Default shall be deemed to exist, and no remedy shall be exercised, until the applicable Leasehold Mortgagee cure period under Section 10.3 has expired without cure.

Section 15.3 Landlord Remedies.

Upon the occurrence and during the continuance of an uncured Tenant Event of Default (and after the expiration of all Leasehold Mortgagee cure periods), Landlord may: (a) terminate this Lease by written notice, subject to Article 7 and Article 10; (b) draw upon the Security Deposit in accordance with Section 8.4; (c) re-enter and take possession, subject to the rights of subtenants and of any Leasehold Mortgagee; (d) pursue any other remedy available at law or in equity; and (e) recover from Tenant the amounts described in Section 15.4. Landlord shall have no right to accelerate Base Rent for the balance of the Term, to recover rent for any period after the date of termination except as provided in Section 15.4, or to recover any consequential, indirect, special, incidental, or punitive damages, or lost profits beyond the amounts specified in Section 15.4.

Section 15.4 Measure of Damages.

Upon termination by reason of a Tenant Event of Default other than a Milestone Failure, Landlord may recover: (a) all unpaid rent and other amounts accrued to the date of termination; (b) the reasonable, documented costs of reletting, including brokerage commissions, tenant improvements, and legal fees; and (c) the amount by which the rent that would have been payable for the twenty-four (24) months following termination exceeds the rent actually received from reletting during that period, discounted to present value at the rate then applicable to United States Treasury obligations of comparable maturity. Landlord shall use reasonable efforts to mitigate its damages by reletting the Premises on commercially reasonable terms. Damages arising from a Milestone Failure shall be determined exclusively under Section 7.7.

Section 15.5 No Lien; Waiver.

Landlord waives any landlord’s lien, distraint, or similar right against Tenant’s Personal Property, Trade Fixtures, or the Improvements, and shall execute such waivers and subordinations as Tenant or any Leasehold Mortgagee may reasonably request. Any lien arising by operation of law against Tenant’s property shall be subordinate to the Leasehold Mortgage.

Section 15.6 Cumulative Remedies.

Except as expressly limited in this Article 15 and Article 7, the remedies of the parties are cumulative and not exclusive.

ARTICLE 16. SURRENDER; END OF TERM

Section 16.1 Surrender at Expiration.

Upon the expiration of the Term, Tenant shall surrender the Premises and the Improvements to Landlord in good order, condition, and repair, reasonable wear and tear, Casualty, Condemnation, and remediation obligations excepted, free and clear of all liens, encumbrances, and tenancies created by Tenant other than subleases entered into in the ordinary course consistent with Section 11.4. Landlord shall accept the Premises subject to such subleases and shall recognize the subtenants, and Tenant shall assign to Landlord, without representation or warranty other than as to title, the subleases and the service contracts, warranties, guaranties, permits, and plans relating to the Premises. Tenant shall not be required to remove the Improvements, and Landlord shall accept the Improvements in their then-existing condition, subject to Section 16.2.

Section 16.2 Improvements at Expiration.

Upon the expiration of the Term, all Improvements shall become the sole property of Landlord without payment, compensation, or reimbursement to Tenant, subject to the rights of each Leasehold Mortgagee and subject to Section 7.7 (which applies only to a Reverter Termination). No provision of this Lease shall entitle Landlord to any Improvement, or to any proceeds attributable to the Improvements, upon a termination of this Lease other than by expiration or a Reverter Termination, and in no event shall Landlord acquire the Improvements upon a termination resulting from (a) a Landlord Event of Default, (b) a Casualty under Section 13.3, or (c) a Condemnation, without payment to Tenant of the amounts provided in Article 13 or Article 14, as applicable.

Section 16.3 Removal of Trade Fixtures and Personal Property.

Tenant may remove its Trade Fixtures and Personal Property at any time during the Term and, in any event, within ninety (90) days after the expiration or earlier termination of the Term, and shall repair any damage to the Premises caused by such removal. Tenant shall have no obligation to remove any Improvement or any fixture that is not a Trade Fixture. Any Personal Property or Trade Fixtures remaining after such period shall be deemed abandoned, and Landlord may retain or dispose of the same without liability to Tenant, provided that Landlord shall first offer any such property to a Leasehold Mortgagee.

Section 16.4 Alterations During the Final Ten Years.

(a) During the final ten (10) years of the Term (from and after October 1, 2114), Tenant shall not undertake any alteration, renovation, or capital improvement to the Premises or the Improvements in excess of Five Million Dollars ($5,000,000) in the aggregate per project without Landlord’s prior written consent, which shall not be unreasonably withheld, conditioned, or delayed. Landlord shall respond to a request for consent within thirty (30) days, and failure to respond shall constitute approval.

(b) Landlord’s consent shall not be required for, and the threshold in Section 16.4(a) shall not apply to: (i) any alteration or improvement required by

Applicable Law, by the ELUR, by any Governmental Authority, or by any Leasehold Mortgagee; (ii) any life-safety, structural, envelope, mechanical, electrical, plumbing, elevator, fire-protection, or accessibility work; (iii) any capital replacement or ordinary repair; (iv) any restoration following a Casualty; (v) any work required to maintain the Project in the condition required by Section 9.6; or (vi) any tenant improvement work performed for subtenants in the ordinary course.

(c) Tenant shall not be required, during the final ten (10) years of the Term, to make any capital improvement or replacement that is not required by Applicable Law, by the ELUR, or to maintain the Project in the condition required by Section 9.6, and Tenant's failure to make any such discretionary improvement shall not constitute a Tenant Event of Default or a basis for any claim by Landlord.

Section 16.5 Holdover.

If Tenant remains in possession after the expiration of the Term with Landlord's consent, the tenancy shall be month to month, terminable by either party on sixty (60) days' notice, at a Base Rent equal to one hundred twenty-five percent (125%) of the Base Rent payable immediately before expiration. If Tenant remains in possession without Landlord's consent, Base Rent shall be one hundred fifty percent (150%) of such amount for the first ninety (90) days and one hundred twenty-five percent (125%) thereafter, and no holdover shall create a tenancy for a longer period. Landlord shall not exercise any remedy against Tenant for any holdover during any period in which Landlord has failed to execute a New Lease to which a Leasehold Mortgagee is entitled under Section 10.4.

Section 16.6 Survival.

The provisions of this Article 16 and of Sections 4.7, 5.8, 5.9, 7.7, 7.9, 12.6, 13.4, 17.3, 18.3, and 18.7 shall survive the expiration or earlier termination of this Lease.

ARTICLE 17. REPRESENTATIONS, WARRANTIES, AND COVENANTS

Section 17.1 Landlord's Representations and Warranties.

Landlord represents and warrants to Tenant as of the Effective Date and as of the Lease Commencement Date that:

(a) **Organization and Authority.** Landlord is a public body corporate and politic duly created and validly existing under the Connecticut General Statutes, Section 8-125 et seq., and has full power and authority to own the Premises, to execute, deliver, and perform this Lease, and to grant the leasehold estate. Resolution No. 2025-047 was duly adopted by Landlord's Board of Commissioners at a duly noticed meeting, has not been amended, modified, or rescinded, and remains in full force and effect, and no other approval of Landlord, of the City of Port Calloway, or of any other Governmental Authority is required for the execution, delivery, or performance of this Lease, except as disclosed to Tenant in writing before the Effective Date.

(b) **Title.** Landlord holds good and marketable fee simple title to the Premises, free and clear of all liens and encumbrances other than the Permitted Exceptions, and the Permitted Exceptions do not materially impair the development, use, or financing of the Project.

(c) **No Other Interests.** Except for the ROFR Declaration, there is no lease, sublease, license, option, right of first offer, purchase right, or other agreement or interest, recorded or unrecorded, that grants any Person the right to acquire, use, or occupy the Premises or any part of it, and no Person is in possession of the Premises.

(d) **No Litigation.** There is no litigation, arbitration, condemnation, administrative proceeding, or governmental investigation pending or, to Landlord's knowledge, threatened that affects the Premises, this Lease, or Landlord's authority to enter into it.

(e) **Environmental.** Landlord's representations in Section 5.1 are true and correct in all material respects.

(f) **Title Insurance.** Ridgepoint Title & Escrow Co. has committed to issue, subject only to the Permitted Exceptions and the requirements of this Lease, (i) an ALTA Leasehold Owner's Policy (2006 form) in the amount of $425,000,000 insuring Tenant's leasehold estate, with the ALTA 13-06, 9-06, 17-06, 17.2-06, 25-06, 3.1-06 (zoning), and environmental protection lien endorsements, and (ii) an ALTA Leasehold Loan Policy (2006 form) in the amount of $285,000,000 insuring the first-priority lien of the Leasehold Mortgage, with the ALTA 13.1-06 and other endorsements required by Bayside.

(g) **Mechanics' Lien.** The mechanics' lien filed by Calloway Marine Demolition Inc. on April 3, 2025, in the amount of $187,500 and recorded at Volume 418, Page 302 of the Port Calloway Land Records, was filed against Landlord's fee interest for work performed before the execution of this Lease. Landlord shall, at its sole cost, cause such lien to be discharged of record, or bonded off in accordance with Connecticut General Statutes, Section 49-37, or otherwise insured over by the title company to Tenant's and Bayside's reasonable satisfaction, on or before the Lease Commencement Date. Tenant shall not be responsible for the amount of such lien, and such lien shall not be a Permitted Exception.

(h) **Zoning.** The Premises are zoned WRD-3 (Mixed-Use High Density) within the Port Calloway Waterfront Revitalization District, and multifamily residential, office, retail, restaurant, and accessory parking are permitted uses within such district, subject to site plan and other approvals in the ordinary course. Landlord has not received notice of any pending change in zoning or land use regulation affecting the Premises.

(i) **Utilities and Access.** The Premises have access to public streets and to municipal water, sanitary sewer, electric, gas, and telecommunications service in sufficient capacity, subject to the obtaining of customary utility connections and permits.

(j) **No Fee Mortgage.** There is no mortgage, deed of trust, or other financing encumbrance on Landlord's fee interest in the Premises.

(k) **Brokers.** Landlord has not engaged any broker or finder in connection with this Lease, and no brokerage commission is payable by Tenant by reason of any act of Landlord.

(l) **Affordable Housing Covenant and ELUR.** The Affordable Housing Restrictive Covenant recorded at Volume 408, Page 230 and the ELUR are in full force and effect, have not been amended or modified, and Landlord has not received any notice of violation with respect to either.

Section 17.2 Tenant's Representations and Warranties.

Tenant represents and warrants to Landlord as of the Effective Date that:

(a) Tenant is a limited liability company duly organized, validly existing, and in good standing under the laws of the State of Delaware and is registered to transact business in the State of Connecticut.

(b) Tenant has full power and authority to execute, deliver, and perform this Lease, and the execution, delivery, and performance have been duly authorized by all necessary action of Tenant and its members.

(c) No litigation, arbitration, or governmental proceeding is pending or, to Tenant's knowledge, threatened against Tenant that would materially and adversely affect Tenant's ability to perform under this Lease.

(d) Tenant is not a debtor in any bankruptcy or insolvency proceeding and has not made an assignment for the benefit of creditors.

(e) Tenant has not engaged any broker or finder in connection with this Lease, and no brokerage commission is payable by Landlord by reason of any act of Tenant.

Section 17.3 Survival; Knowledge.

The representations and warranties in this Article 17 shall survive the Lease Commencement Date for the Term. "To Landlord's knowledge" means the actual knowledge of Paul Castignetti, Diana Forsythe, and the Authority's executive staff responsible for the Premises, after reasonable inquiry of the Authority's files relating to the Premises. "To Tenant's knowledge" means the actual knowledge of Marcus Ellison, after reasonable inquiry.

ARTICLE 18. MISCELLANEOUS

Section 18.1 Notices.

All notices, consents, demands, and other communications shall be in writing and shall be deemed duly given (a) when delivered by hand, (b) one Business Day after deposit with a nationally recognized overnight courier, or (c) three Business Days after deposit in the United States mail, certified or registered, return receipt requested, postage prepaid, addressed as follows (or to such other address as a party may designate by notice):

Party	Address for Notices
Landlord	City of Port Calloway Redevelopment Authority, 75 Municipal Plaza, Port Calloway, CT 06801, Attention: Executive Director; with a copy to Pryor Whitfield & Koss LLP, 55 Courthouse Square, Port Calloway, CT 06801, Attention: Howard Koss
Tenant	Meridian Gateway Holdings LLC, 400 Harborview Drive, Suite 1200, Port Calloway, CT 06801, Attention: Marcus Ellison, Managing Member; with a copy to Hargrove & Linden LLP, 1100 Constitution Avenue, Hartford, CT 06103, Attention: Rebecca Tsang
Bayside (Leasehold Mortgagee)	Bayside Federal Lending Corp., 200 Atlantic Boulevard, Stamford, CT 06902, Attention: Sandra Milliken, Senior Vice President, Commercial Real Estate Lending, with a copy to Bayside's counsel as designated in writing
Other Leasehold Mortgagees	At the address designated in writing to Landlord and Tenant

Notices of default, notices of termination, Milestone Notices, and notices under Article 10 shall also be sent by electronic mail, with a follow-up copy by one of the methods above; electronic delivery alone shall not constitute effective notice.

Section 18.2 Governing Law.

This Lease shall be governed by and construed in accordance with the laws of the State of Connecticut, without regard to conflict of laws principles. The Premises are located in the County of New Haven, and venue for any action shall be in the Superior Court of the State of Connecticut for the Judicial District of New Haven (the parties acknowledging that the reference in the Term Sheet to the "Judicial District of Port Calloway" does not correspond to a judicial district of the Connecticut Superior Court, and that the Title Commitment correctly identifies the Judicial District of New Haven).

Section 18.3 Dispute Resolution.

(a) **Mediation.** Except as provided in Sections 18.3(b) and 18.3(c), any dispute arising under this Lease shall first be submitted to non-binding mediation before a mediator selected by agreement of the parties (or, failing agreement, appointed by the American Arbitration Association) in Hartford or New Haven, Connecticut, within thirty (30) days after a written request for mediation. If the dispute is not resolved within sixty (60) days after the request, either party may commence litigation.

(b) **Exceptions.** Mediation shall not be required, and either party may proceed directly to litigation or to the remedies provided in this Lease, with respect to: (i) any request for injunctive relief, specific performance, or a temporary or permanent restraining order; (ii) the exercise or enforcement of any right by a Leasehold Mortgagee under Article 10; (iii) any Tenant Event of Default involving non-payment of rent; (iv) eviction or possession proceedings; and (v) any matter designated in this Lease for Expert determination.

(c) **Expert determination.** The following matters may be referred by either party to a single independent Expert (who shall be, as applicable, a licensed Connecticut appraiser holding the MAI designation, a nationally recognized certified public accountant, an experienced real estate attorney, or a licensed structural or marine engineer) selected by mutual agreement or, failing agreement within fifteen (15) days, appointed by the American Arbitration Association: (i) the CPI adjustment and any Reset Date rent; (ii) the Breakpoint for any Rent Year; (iii) the duration of any Force Majeure or permitting extension; (iv) the Occupancy Rate; (v) the Fair Market Value of the Improvements and the Reverter Compensation; (vi) the allocation of bulkhead costs under Section 9.6(b); (vii) the amount of any tax shortfall under Section 6.4; (viii) any audit dispute under Section 4.6; and (ix) any other matter the parties agree to submit. The Expert shall act as an expert and not as an arbitrator, shall afford each party an opportunity to submit written materials and a written response, and shall deliver a written determination within forty-five (45) days after appointment. The determination shall be final and binding absent manifest error or fraud, and may be entered as a judgment in any court of competent jurisdiction. The Expert's fees shall be allocated as the Expert determines is equitable or, absent such determination, equally.

(d) **Jury Waiver.** To the fullest extent permitted by Applicable Law, each party waives trial by jury in any action arising out of or relating to this Lease. Nothing in this Section 18.3(d) shall be construed as a waiver of any right of a Leasehold Mortgagee.

(e) **Attorneys' Fees.** In any action or proceeding to enforce or interpret this Lease, the prevailing party shall be entitled to recover its reasonable attorneys' fees, costs, and disbursements.

Section 18.4 Estoppel Certificates.

Within ten (10) Business Days after request, each party shall deliver to the other, or to any Leasehold Mortgagee or prospective transferee, an estoppel certificate certifying: (a) that this Lease is in full force and effect and unmodified (or identifying any modifications); (b) the Rent Commencement Date, the Base Rent then payable, the Breakpoint then in effect, and the amount of the Security Deposit then held; (c) that no default exists or, if one is alleged, specifying it; (d) the amount of any prepaid rent or offsets; and (e) such other matters as may reasonably be requested. A party's failure to deliver an estoppel within such period shall entitle the requesting party to certify the matters set forth in its request, and the non-responding party shall be bound by such certification. Landlord shall not charge any fee for an estoppel certificate.

Section 18.5 Fee Mortgages; Subordination.

This Lease is and shall be senior and prior in all respects to any mortgage, deed of trust, or other encumbrance now or hereafter placed on Landlord's fee interest in the Premises. Landlord shall not place any fee mortgage on the Premises unless the holder executes and delivers to Tenant and each Leasehold Mortgagee a subordination and non-disturbance agreement recognizing the priority of this

Lease and agreeing not to disturb Tenant's leasehold estate or any Leasehold Mortgage in any foreclosure, on terms reasonably acceptable to Tenant and the Leasehold Mortgagee.

Section 18.6 Further Assurances.

Each party shall execute and deliver such further instruments and take such further action as may be reasonably requested to carry out the purposes of this Lease, including consents, estoppels, joinders, memoranda, and documents required by any Leasehold Mortgagee, title company, auditor, rating agency, or Governmental Authority, at the requesting party's cost where the instrument is required for the requesting party's financing, transfer, or audit.

Section 18.7 Confidentiality; Freedom of Information.

(a) Landlord shall keep confidential all financial and operating information of Tenant, including statements of Gross Revenues, audit results, rent rolls, and financing terms, and shall disclose such information only to its commissioners, officers, attorneys, auditors, financial advisors, and bonding counsel and rating agencies, in each case on a need-to-know basis, or as required by Applicable Law.

(b) Landlord acknowledges that it is a public agency subject to the Connecticut Freedom of Information Act (Section 1-200 et seq. of the Connecticut General Statutes). If Landlord receives a request for disclosure of this Lease or of any information described in Section 18.7(a), Landlord shall, within five (5) Business Days after receipt, notify Tenant, shall assert in good faith all exemptions and confidential-treatment provisions available under Applicable Law, and shall afford Tenant a reasonable opportunity to seek protective relief at Tenant's cost. Landlord shall have no liability to Tenant for any disclosure required by law or by a final order of a court or the Freedom of Information Commission, provided Landlord has complied with this Section 18.7(b).

(c) Tenant acknowledges that the Authority may be required to disclose the terms of this Lease, and that recording of the Memorandum of Lease rather than this Lease is intended to limit, to the extent permitted by law, the public record of commercially sensitive terms.

Section 18.8 Brokers.

Each party shall indemnify and hold harmless the other from and against any claim for a brokerage commission or finder's fee arising from the acts of the indemnifying party in connection with this Lease.

Section 18.9 Time of the Essence.

Time is of the essence with respect to the payment of rent and to the dates expressly identified in Section 2.6, but not with respect to the Milestones, which are subject to the extensions and cure periods in Article 7.

Section 18.10 Severability.

If any provision of this Lease is held invalid or unenforceable, the remainder of this Lease shall continue in full force and effect, and the invalid provision shall be reformed to the minimum extent necessary to make it enforceable and consistent with the intent of the parties.

Section 18.11 Entire Agreement; Supersession of Term Sheet.

This Lease, together with its Exhibits, constitutes the entire agreement of the parties with respect to the Premises and supersedes all prior and contemporaneous agreements, understandings, term sheets, letters of intent, and negotiations, including the Term Sheet dated June 10, 2025, which is superseded in its entirety and of no further force or effect as provided in Section 19 of the Term Sheet. In the event of any conflict or inconsistency between this Lease and the Term Sheet, this Lease controls in all respects, and neither party shall assert the Term Sheet, or any drafting history, correspondence, or negotiation, as evidence of the intent of the parties with respect to any matter addressed in this Lease. The parties acknowledge that this Lease differs in certain respects from the Term Sheet (including Article 4, Article 6, Article 7, Section 8.3, Section 9.6, Article 10, and Section 11.6) and that such differences reflect the further negotiation of the parties and, as to Landlord, are subject to the approvals described in Section 18.18.

Section 18.12 Amendment and Waiver.

This Lease may be amended only by a written instrument executed by Landlord and Tenant (and, where required by Section 10.5, consented to by each Leasehold Mortgagee). No waiver of any provision shall be effective unless in writing and signed by the waiving party, and no waiver of any breach shall be deemed a waiver of any other or subsequent breach.

Section 18.13 Counterparts; Electronic Signatures.

This Lease may be executed in counterparts, each of which shall be deemed an original and all of which together shall constitute one instrument. Electronic signatures and signatures transmitted by portable document format shall be effective in accordance with the Connecticut Uniform Electronic Transactions Act.

Section 18.14 No Partnership; Third-Party Beneficiaries.

Nothing in this Lease creates a partnership, joint venture, or principal-agent relationship between the parties. This Lease is for the sole benefit of the parties and their permitted successors and assigns, except that each Leasehold Mortgagee and its designees are intended third-party beneficiaries of Article 10 and Section 13.6 and may enforce those provisions directly.

Section 18.15 Successors and Assigns.

Subject to Article 11, this Lease binds and benefits the parties and their respective successors and permitted assigns.

Section 18.16 Status of Landlord; Non-Recourse.

(a) Landlord is a public body corporate and politic. No commissioner, officer, employee, or agent of Landlord shall have any personal liability under this Lease, and no such Person shall be joined as a party to any action arising out of this Lease.

(b) Tenant's obligations under this Lease are without personal liability to Tenant's members, managers, officers, employees, and Affiliates, and Landlord shall look solely to Tenant's interest in the Premises and the Improvements and to the Security Deposit for the satisfaction of Tenant's obligations, except for liability arising from fraud, intentional misrepresentation, misappropriation of funds, or Tenant's indemnity obligations under Section 5.8, which shall be recourse obligations of Tenant.

Section 18.17 Force Majeure (General Performance).

If either party is delayed or prevented from performing any obligation (other than the payment of money) by reason of an event described in Section 7.4(b), the time for performance shall be extended for the period of the delay, provided that the delayed party gives written notice within a reasonable time and uses reasonable efforts to mitigate.

Section 18.18 Landlord Approvals.

Tenant acknowledges that this Lease must be approved by Landlord's Board of Commissioners to the extent required by Resolution No. 2025-047, and Landlord covenants that it shall submit this Lease to its Board for approval, and shall diligently pursue such approval, on or before the date that is thirty (30) days after the Effective Date. Landlord's failure to obtain such approval shall not relieve Landlord of its obligations under this Lease, but Tenant's obligations are conditioned on such approval as provided in Section 2.6.

Section 18.19 Counterpart; Recording.

The Memorandum of Lease shall be recorded in accordance with Section 2.8. Neither party shall record this Lease without the other's consent except as provided in Section 2.8(c).

SIGNATURES

IN WITNESS WHEREOF, the parties have executed and delivered this Ground Lease Agreement as of the Effective Date.

LANDLORD:	**TENANT:**
CITY OF PORT CALLOWAY REDEVELOPMENT AUTHORITY	MERIDIAN GATEWAY HOLDINGS LLC
By: _____	By: _____
Name: Paul Castignetti	Name: Marcus Ellison
Title: Executive Director	Title: Managing Member
Date: _____	Date: _____
Authorized by Resolution No. 2025-047	

LANDLORD:	TENANT:
ATTEST:	ATTEST:
By: _____	By: _____
Name: Diana Forsythe	Name: _____
Title: Chair, Board of Commissioners	Title: _____

ACKNOWLEDGMENT OF LEASEHOLD MORTGAGEE

The undersigned, Bayside Federal Lending Corp., as Leasehold Mortgagee, acknowledges the provisions of Article 10 and Section 13.6 of this Lease and designates the following address for notices under Section 18.1:

Bayside Federal Lending Corp., 200 Atlantic Boulevard, Stamford, CT 06902, Attention: Sandra Milliken, Senior Vice President, Commercial Real Estate Lending, with a copy to Bayside’s counsel at _____.

By: _____ Date: _____

Name: Sandra Milliken

Title: Senior Vice President, Commercial Real Estate Lending

EXHIBIT A — LEGAL DESCRIPTION OF THE PREMISES

All that certain piece or parcel of land situated in the City of Port Calloway, County of New Haven, State of Connecticut, bounded and described as follows:

BEGINNING at a point at the intersection of the southerly line of Pier Street (a 60-foot public right-of-way) and the easterly line of Harbor Avenue (a 50-foot public right-of-way), said point being the northwest corner of the herein-described parcel, marked by a found 5/8-inch iron rebar;

THENCE running South 78 degrees 15 minutes 30 seconds East along the southerly line of Pier Street, a distance of Four Hundred Thirty-Five and 22/100 feet (435.22’) to a point at the northeast corner of the herein-described parcel, said point being on the westerly line of the 15-foot public pedestrian access easement recorded at Volume 395, Page 112 of the Port Calloway Land Records, marked by a found 5/8-inch iron rebar;

THENCE running South 11 degrees 44 minutes 30 seconds West along the westerly line of said pedestrian access easement and along the bulkhead line (as depicted on the accompanying survey plat), a distance of Three Hundred Twenty and 47/100 feet (320.47’) to a point at the southeast corner of the herein-described parcel, said point being on the northerly boundary of Assessor’s Parcel No. 127-003-0044 (City of Port Calloway Redevelopment Authority, reserved for future park development), marked by a set 5/8-inch iron rebar with aluminum cap stamped “PLS 008741”;

THENCE running North 78 degrees 15 minutes 30 seconds West along the northerly line of said Assessor’s Parcel No. 127-003-0044, a distance of Four Hundred Thirty-Five and 22/100 feet (435.22’) to a point at the southwest corner of the herein-described parcel, said point being on the easterly line of Harbor Avenue, marked by a set 5/8-inch iron rebar with aluminum cap stamped “PLS 008741”;

THENCE running North 11 degrees 44 minutes 30 seconds East along the easterly line of Harbor Avenue, a distance of Three Hundred Twenty and 47/100 feet (320.47’) to the POINT OF BEGINNING.

Containing 139,392 square feet, or 3.200 acres, more or less, which stated area controls for all purposes of this Lease.

Basis of Bearings: Connecticut State Plane Coordinate System, NAD83 (2011), South Zone. Vertical Datum: NAVD88.

Being a portion of the land conveyed to the City of Port Calloway Redevelopment Authority by Final Order of Condemnation recorded in the Port Calloway Land Records (recording reference to be confirmed against the certified copy of the judgment; see Section 2.2(b)).

As shown on the ALTA/NSPS Land Title Survey prepared by Calloway Land Surveyors LLC, Thomas R. Pellegrino, P.L.S., Connecticut License No. PLS-008741, Survey Job No. CLS-2025-0417, dated April 28, 2025, certified to Landlord, Tenant, Ridgepoint Title & Escrow Co., and Bayside Federal Lending Corp., a copy of which is attached to this Exhibit A.

Note: The legal description in Exhibit A to Title Commitment No. TC-2025-07821 (identifying survey Drawing No. CLS-2025-0321 and surveyor J. Michael Ferreira, P.L.S., License No. 12847) describes different courses (580.00 feet and 480.00 feet) and encloses approximately 279,535 square feet. That description is erroneous and is not part of this Lease. See Section 2.2(b).

EXHIBIT B — BASE RENT SCHEDULE AND PERCENTAGE RENT ILLUSTRATION

Part 1 — Base Rent (Section 3.2 and clause (a) of Section 3.3)

The following schedule shows Base Rent payable in each five-year band. From Rent Year 16, the amounts shown are the clause (a) floor of the greater-of determination in Section 3.3 and are subject to adjustment upward (or, subject to Section 3.3(b), capped) by reference to CPI on each Reset Date.

Rent Years	Annual Base Rent	Monthly Installment
1 through 5	$2,850,000	$237,500.00
6 through 10	$3,224,513	$268,709.45
11 through 15	$3,648,241	$304,020.08
16 through 20	$4,127,650	$343,970.81
21 through 25	$4,670,057	$389,171.40
26 through 30	$5,283,741	$440,311.72
31 through 35	$5,978,068	$498,172.30
36 through 40	$6,763,635	$563,636.23
41 through 45	$7,652,432	$637,702.66
46 through 50	$8,658,024	$721,502.03
51 through 55	$9,795,760	$816,313.32
56 through 60	$11,083,003	$923,583.60
61 through 65	$12,539,401	$1,044,950.07

Rent Years	Annual Base Rent	Monthly Installment
66 through 70	$14,187,181	$1,182,265.09
71 through 75	$16,051,493	$1,337,624.43
76 through 80	$18,160,791	$1,513,399.26
81 through 85	$20,547,268	$1,712,272.36
86 through 90	$23,247,348	$1,937,279.01
91 through 95	$26,302,241	$2,191,853.38
96 through 99	$29,758,571	$2,479,880.91

Part 2 — Percentage Rent Illustration (Section 4.2)

The following illustration is for reference only. It assumes (a) illustrative Gross Revenues of $30,000,000 in Rent Year 6, growing at three percent (3%) per annum, and (b) a Breakpoint adjusted in lockstep with Base Rent as provided in Section 4.2(b), so that the Breakpoint bears the same relationship to Base Rent as it does in Rent Year 6 (8.84 times). Actual Gross Revenues govern.

Rent Year	Illustrative Gross Revenues	Breakpoint (indexed)	Percentage Rent	Percentage Rent if Breakpoint Were Fixed
6	$30,000,000	$28,500,000	$30,000	$30,000
15	$39,143,196	$32,245,134	$137,961	$212,864
30	$60,983,823	$46,700,569	$285,665	$649,676
60	$148,023,745	$97,957,599	$1,001,323	$2,390,475
99	$468,795,196	$263,022,405	$4,115,456	$8,805,904

Over Rent Years 6 through 99, the aggregate Percentage Rent under this illustration is approximately $102.4 million with an adjusted Breakpoint, compared to approximately $248.3 million with a permanently fixed Breakpoint.

EXHIBIT C — DEVELOPMENT MILESTONE SCHEDULE

Milestone	Description	Period from Lease Commencement Date	Deadline if Lease Commencement Date Is October 1, 2025
1	Commencement of Construction: physical pouring of footings for at least one building within the Project, following issuance of all necessary building permits	18 months	April 1, 2027
2	Completion of Structural Frame: topping-out of the structural steel and/or concrete frame for the Residential Tower	42 months	April 1, 2029
3	Substantial	60 months	October 1, 2030

Milestone	Description	Period from Lease Commencement Date	Deadline if Lease Commencement Date Is October 1, 2025
	Completion of Phase 1: issuance of a temporary or permanent certificate of occupancy for the Residential Tower and ground-floor retail space		
4	Substantial Completion of Phase 2: issuance of a temporary or permanent certificate of occupancy for the Office Building	84 months	October 1, 2032

Extensions: up to twelve (12) months in the aggregate for Force Majeure, plus up to six (6) months in the aggregate for governmental permitting delays, for a maximum aggregate extension of eighteen (18) months (Section 7.4(a)), plus day-for-day extensions under Section 7.2(c) and Section 7.10 for delays attributable to Landlord, the ELUR, or the Approvals. Only Milestones 1 and 3 are subject to the reverter right, and only as qualified by Sections 7.6 through 7.12.

EXHIBIT D — FORM OF MEMORANDUM OF LEASE

MEMORANDUM OF GROUND LEASE

This Memorandum of Ground Lease is made as of _____, 2025, between **CITY OF PORT CALLOWAY REDEVELOPMENT AUTHORITY**, a public body corporate and politic organized under Connecticut General Statutes Section 8-125 et seq., as Landlord, and **MERIDIAN GATEWAY HOLDINGS LLC**, a Delaware limited liability company, as Tenant.

1. **Premises.** Landlord has leased to Tenant, and Tenant has leased from Landlord, the land located at 10-30 Pier Street, Port Calloway, Connecticut 06801, Assessor’s Parcel No. 127-003-0045, containing 139,392 square feet (3.2 acres), more particularly described on Exhibit A to the Lease and incorporated herein by reference.

2. **Term.** Ninety-nine (99) years, commencing on the Lease Commencement Date and expiring September 30, 2124, unless sooner terminated in accordance with the Lease.

3. **Rent.** Initial annual Base Rent of $2,850,000, with fixed escalation for Rent Years 1 through 15 and CPI-based resets thereafter, plus Percentage Rent, all as provided in the Lease.

4. **Leasehold Mortgage.** The Lease expressly permits Tenant to grant one or more Leasehold Mortgages without Landlord’s consent; contains cure rights, new lease rights, non-disturbance, and foreclosure and assignment rights in favor of Leasehold Mortgagees as provided in Article 10 of the Lease.

5. **Right of First Refusal.** Landlord holds a right of first refusal with respect to Transfers of the Lease during the period ending September 30, 2045, subject to the carve-outs in Section 11.6 of the Lease (including carve-outs for Leasehold Mortgages, foreclosure transfers, and Permitted Transfers).

6. **Reverter.** The Lease contains reverter rights in favor of Landlord upon a Milestone Failure, subject to mandatory cure periods, Leasehold Mortgagee protections, and the payment of Reverter Compensation as provided in Article 7 of the Lease.

7. **Reference.** This Memorandum is not a complete summary of the Lease. Reference is made to the Lease, dated _____, 2025, for all of its terms, which are incorporated herein by reference. In the event of any conflict between this Memorandum and the Lease, the Lease controls.

8. **Recording.** This Memorandum is recorded in the Port Calloway Land Records concurrently with the Lease.

LANDLORD:	**TENANT:**
CITY OF PORT CALLOWAY REDEVELOPMENT AUTHORITY	MERIDIAN GATEWAY HOLDINGS LLC
By: _____	By: _____
Name: Paul Castignetti	Name: Marcus Ellison
Title: Executive Director	Title: Managing Member

State of Connecticut, County of New Haven — Acknowledged before me this _____ day of _____, 2025, by _____, as _____ of the respective parties.

EXHIBIT E — SUBORDINATION, NON-DISTURBANCE, AND ATTORNMENT AGREEMENT

The SNDA shall be a tri-party agreement among Landlord, Tenant, and the Leasehold Mortgagee, in a form reasonably acceptable to the Leasehold Mortgagee, and shall include not less than the following provisions:

(a) Landlord’s acknowledgment of the Leasehold Mortgage, its amount, and its first-priority lien on the leasehold estate and Improvements;

(b) Landlord’s agreement not to disturb the Leasehold Mortgagee’s security interest, or the interest in the Lease of any purchaser at foreclosure or transferee by deed in lieu, so long as the obligations of the tenant under the Lease are performed or cured within the applicable cure periods;

(c) Landlord’s agreement to recognize and accept the Leasehold Mortgagee, its designee, or any foreclosure purchaser as tenant under the Lease, and to attorn, in accordance with the new lease provisions of Section 10.4 of the Lease;

(d) Simultaneous notice to the Leasehold Mortgagee of all defaults, terminations, Milestone Notices, and other material notices, and independent cure periods as provided in Section 10.3 of the Lease (60 days

for monetary defaults, 90 days for non-monetary defaults, and 180 days for Milestone Failures);

(e) The new lease rights described in Section 10.4 of the Lease, including the requirement that Landlord execute a New Lease within thirty (30) days after request, effective as of the termination date, with equal priority and with recognition of existing subleases;

(f) Confirmation that insurance and condemnation proceeds attributable to the Improvements are payable to the Leasehold Mortgagee as its interest may appear (Section 13.6 of the Lease);

(g) A prohibition on voluntary surrender, amendment, modification, or termination of the Lease without the Leasehold Mortgagee's consent (Section 10.5 of the Lease);

(h) Confirmation that the right of first refusal, the reverter right, and any other Landlord right under the Lease is subject and subordinate to the Leasehold Mortgage and to the Leasehold Mortgagee's rights;

(i) Estoppel and further-assurances provisions, and the Leasehold Mortgagee's right to receive estoppel certificates under Section 18.4 of the Lease; and

(j) A release providing that the Leasehold Mortgagee shall not be liable for any obligation of Tenant arising before it acquires possession, and that Landlord shall not look to the Leasehold Mortgagee for performance except as provided in any New Lease.

The SNDA shall be recordable in the Port Calloway Land Records and shall be recorded at Tenant's cost on or before the Lease Commencement Date as to Bayside.

EXHIBIT F — FORM OF LETTER OF CREDIT

The letter of credit shall be an irrevocable standby letter of credit in the amount of $5,700,000 (reducible to $2,850,000 in accordance with Section 8.3), issued by a bank meeting the requirements of Section 8.2, naming the City of Port Calloway Redevelopment Authority as beneficiary, and shall provide that:

(a) it is available by presentation of a sight draft accompanied by the beneficiary's certificate stating that the amount drawn is due under the Lease and that the conditions to a draw in Section 8.4 of the Lease have been satisfied;

(b) it permits partial draws and multiple presentations;

(c) it is transferable to any successor landlord and, at Tenant's request, to any Leasehold Mortgagee;

(d) it has an expiration date of not less than one year and provides for automatic extension without amendment (or, alternatively, notice of non-extension to be given to the beneficiary and to Tenant not less than sixty (60) days before expiration);

(e) it is governed by the Uniform Customs and Practice for Documentary Credits (UCP 600) or the International Standby Practices (ISP98), as stated in the instrument; and

(f) it is payable at a bank office in Hartford or New York, New York, or by wire transfer.

EXHIBIT G — AFFORDABLE HOUSING REQUIREMENTS

1. **Minimum percentage.** Not less than fifteen percent (15%) of the residential dwelling units in the Project shall be Affordable Units, calculated on the total unit count as finally designed and thereafter as adjusted under Section 9.4(b), with fractions rounded up to the next whole unit.

2. **Income eligibility.** Affordable Units shall be available to households earning at or below eighty percent (80%) of Area Median Income, determined annually by HUD for the metropolitan statistical area applicable to Port Calloway (Section 9.4(c)).

3. **Rents.** Rents for Affordable Units shall not exceed the applicable HUD-published maximum rent for the unit size at the required income level, inclusive of utilities through a utility allowance, and shall be maintained for the duration of the Term.

4. **Location.** Affordable Units shall be located on the second floor and above (Section 9.3(d)) and distributed proportionately by unit type and across floors (Section 9.4(d)).

5. **Design.** Affordable Units shall be comparable in size, finish, and access to amenities to market-rate units of the same bedroom count, and shall not be distinguishable from the exterior.

6. **Marketing and verification.** Tenant shall maintain an affirmative marketing plan, verify household income at initial occupancy and annually, and deliver an annual compliance certificate to Landlord (Section 9.4(e)).

7. **Duration.** The requirement runs for the duration of the Term and with the leasehold interest.

8. **Enforcement.** Notice and 60-day cure; remedies limited to specific performance and injunctive relief; no default, reverter, forfeiture, or draw on the Security Deposit (Section 9.4(f)).

9. **Conforming amendment.** The parties shall execute an amended or supplemental declaration conforming the recorded Affordable Housing Restrictive Covenant (Volume 408, Page 230) to this Exhibit, including the HUD area determination, the recalculation methodology, the monitoring entity, the floor-location requirement, and the enforcement and cure provisions.

EXHIBIT H — REMEDIATION SCOPE, COST ALLOCATION, AND CREDIT SCHEDULE

Part 1 — Scope

Contaminated Area	Approximate Impacted Area	Maximum TPH Detected	RSR RDEC (TPH)	Estimated Remediation Cost	Allocation
Area 1 — Northwest Corner (former UST area)	4,200 square feet	3,800 mg/kg (SB-3, 4–6 ft bgs)	500 mg/kg	$1,850,000	Subject to Section 5.4
Area 2 — Former Dry Dock	1,600 square feet	1,200 mg/kg (SB-15, 6–8 ft bgs)	500 mg/kg	$550,000	Subject to Section 5.4
Total	**5,800 square feet**			**$2,400,000**	

Remediation shall be performed by excavation and off-site disposal in conjunction with the Project's site work, under a DEEP-approved Remedial Action Plan and Soil Management Plan, with confirmation sampling and a verification report certified by a Licensed Environmental Professional.

Part 2 — Cost Allocation and Credit

Component	Amount
Total estimated Remediation Cost (Phase II ESA)	$2,400,000
Tenant responsibility (first tier, Section 5.4(a))	$2,400,000
Tenant responsibility (overrun tier, Section 5.4(b))	up to $600,000 additional
Remediation Credit (Section 5.3)	($1,800,000)
Net estimated Tenant cost after credit	$600,000

Remediation Credit schedule (Section 5.3(a)): Base Rent Months 1 through 7 at $0 (credit of $237,500 per month, totaling $1,662,500); Month 8 credit of $137,500 with $100,000 payable; Month 9 and thereafter full Base Rent. Total credit: $1,800,000.

Excluded from the estimate (Tenant diligence items, not part of the credit calculation): the cost of the Remedial Action Plan, Soil Management Plan, DEEP fees, and the verification report; any ELUR modification; groundwater dewatering and treatment (expressly excluded by the Phase II ESA); bulkhead rehabilitation or replacement (Section 9.6(b)); and legal and consulting fees. Note that the Phase II ESA labels the contingency line item "10%" but the amounts shown ($100,000 in Area 1 and $25,000 in Area 2) are approximately 5.7% and 4.8% of the pre-contingency subtotals, so that a true 10% contingency would increase the estimate to approximately $2,502,500.

EXHIBIT I — PERMITTED EXCEPTIONS

No.	Exception	Recording Reference	Status and Treatment
1	Environmental Land Use Restriction (ELUR): prohibition on ground-floor residential use; engineered barrier; groundwater use prohibition; annual compliance certification	Volume 412, Page 88 (March 22, 2018)	Permitted, subject to Article 5 and Section 9.3
2	Public utility easement, 20 feet wide, along the Pier Street frontage (underground electric and sewer)	Volume 388, Page 201	Permitted
3	Public pedestrian access easement, 15 feet wide, along the eastern waterfront boundary, prohibiting permanent structures within the easement area	Volume 395, Page 112	Permitted
4	Right of first refusal in favor of Landlord (ROFR Declaration)	Volume 405, Page 55 (September 8, 2019)	Permitted only as modified by the amendment required under Section 11.6(c), which shall be recorded before the Lease Commencement Date
5	Affordable Housing Restrictive Covenant (15% of units at or below 80% of AMI)	Volume 408, Page 230 (November 15, 2019)	Permitted, subject to Article 9 and Exhibit G
6	Mechanics' lien, Calloway Marine Demolition Inc., $187,500	Volume 418, Page 302 (April 3, 2025)	**Not** a Permitted Exception. Landlord shall discharge, bond off, or insure over at its sole cost before the Lease Commencement Date (Section 17.1(g))
7	Real property taxes and assessments for the fiscal year commencing July 1, 2025, not yet due and payable	—	Permitted, subject to Article 6
8	Zoning and land use regulations, including WRD-3 (Mixed-Use High Density)	—	Permitted
9	Flood zone	—	Permitted, subject to

No.	Exception	Recording Reference	Status and Treatment
	designation: FEMA Zone AE, FIRM Panel 09009C0301G (January 15, 2020), BFE 12 feet NAVD88		Article 12
10	Rights reserved to or by governmental entities in connection with the 2012 condemnation, including any residual claims or reversionary interests	Volume 367, Page 44 (per Title Commitment) / Volume 375, Page 44 (per Survey)	Permitted, subject to Landlord’s covenant to deliver a certified copy of the judgment and to confirm that all appeal periods have expired and that no residual claims remain

Nothing in this Exhibit I constitutes Tenant’s approval of any exception that materially and adversely affects the development, financing, or value of the Project, and Tenant’s approval of the Permitted Exceptions is subject to Section 2.6(a)(ii) and Section 17.1(b).

END OF GROUND LEASE AGREEMENT